Ep #18 | WTF, Alcohol is a $70B Business in India? | Nikhil Kamath explores Gaps & Opportunities

[Speaker 5] (0:00 - 1:23)

The intent is to find young people out there and tell them how they can get a job in owning a bar, starting a liquor company, working in a liquor company, doing advertising for liquor companies, because you guys are experts in this. Are you guys ready? Welcome each and every one of you.

Thank you for coming. The very first thing we do when we begin this off is introduce ourselves. I know Abhishek very well already, but I haven't spent time with the other three of you.

So maybe you start by giving us five minutes about yourself. Starting with you.

[Speaker 3] (1:24 - 1:26)

Okay, we start?

[Speaker 5] (1:26 - 1:27)

Yeah, go Meenakshi.

[Speaker 3] (1:28 - 1:31)

Amazing. So, okay, we start from the beginning.

[Speaker 5] (1:32 - 1:34)

You're a bar owner, so you're already a very cool person.

[Speaker 3] (1:35 - 1:35)

Yeah, I know that.

[Speaker 5] (1:35 - 1:37)

Like I said, I will pull your leg, feel free to...

[Speaker 3] (1:38 - 2:06)

I'll do the same. Trust me. We need some alcohol and then we'll start.

No, so yeah, so I started my journey into this industry right from hotel management days. So I did my hotel management from Aichin Pusa, New Delhi. And from there on, in the second year of college, just like most of us, we needed pocket money for the pizza and beers.

And so we...

[Speaker 5] (2:06 - 2:07)

Where did you do college?

[Speaker 3] (2:07 - 2:14)

Aichin Pusa, New Delhi. And finished my schooling in college from Delhi. And since then I've been in Delhi.

[Speaker 5] (2:15 - 2:17)

Okay, so you went to college, then?

[Speaker 3] (2:17 - 2:25)

Yeah, so I started bartending in the second year of college as almost like a, you know, there's something called ODCs, which are outdoor caterers.

[Speaker 5] (2:25 - 2:26)

Do you have pictures from back then?

[Speaker 3] (2:27 - 2:28)

Yeah, yeah, yeah.

[Speaker 5] (2:28 - 2:30)

Meghna, we should put that up. Okay, then?

[Speaker 3] (2:32 - 3:02)

Okay, so that was my first experience behind the bar. I also think that was also a very big turning point for me. I was really lucky to have experienced really good, you know, space of work.

For the first time when you go, it was just a part-time job. And, you know, you're just doing it for fun, mostly for money. And when I went behind the bar, I started really enjoying it.

And I felt like, I don't know if there's a word for this. I really felt like this is my calling. And I got...

[Speaker 5] (3:02 - 3:04)

What element of bartending?

[Speaker 3] (3:04 - 3:10)

Actual bartending. So I loved making drinks. I loved serving drinks.

I loved the part of hosting and talking to new people.

[Speaker 5] (3:11 - 3:14)

Was it the social element more or was it the mixing?

[Speaker 3] (3:14 - 3:49)

Absolutely, absolutely. So bartending is a mix of many things. Of course, the technical art of it, of making drinks is primary.

But after that, it's layer on layer on your personality and how sociable you are and how open you are to knowing new people, talking to strangers and how, you know, what your personality is. And I think bartending can bring that personality out in you. It's very, it's a very good, comfortable space because you are also already in a space of enjoyment.

You're mostly there to relax. So you also come with your guards down a little bit. So I think from a consumer point of view, it works really well.

And I had a great time in that second and third year of college.

[Speaker 5] (3:50 - 3:53)

Bartenders tend to be particularly good looking?

[Speaker 3] (3:56 - 4:28)

No, I don't think so. I think that's not good looking and good grooming are two different things. And I would say that that's because when you're in the hotel background or hotel industry, you're expected to be turned out well.

Your hair is in place, your nails are in place. That's part of grooming. And I feel that's also part of hygiene.

And because you're serving food, you're serving drinks. I don't want a shabby looking person, you know, preparing my food, for example. It's the same way.

I don't want a shabby looking person making drinks for me. So I think grooming is where the center point is. And after that, of course, you can be groomed well.

You can wear a beautiful designer shirt and look really good.

[Speaker 5] (4:28 - 4:31)

Okay, so bartending second year of college.

[Speaker 3] (4:32 - 5:13)

And after that, when I was in third year, as expected, most of the hotel management students back then, I'm also referring to now 20 years ago. Back then, it was expected that now you'll become a hotel manager, you'll get into management training program. And then you get a suit and you're sorted, right?

So it's the blue collar, white collar part of it. And my parents weren't very happy when I told them that I don't want to do hotel. I don't want to be a manager in a hotel.

I'd rather be bartending. And that was a difficult phase for us as a family as well. But somewhere, I took the decision to continue bartending.

I did a bartending course. And I think that is when I realized...

[Speaker 5] (5:13 - 5:13)

In India?

[Speaker 3] (5:14 - 5:25)

Yeah, in India. My business partner, current business partner, Yangdu Plama had just started his bartending school. So I was actually one of the first initial batches of kids who came out.

This was back then.

[Speaker 1] (5:25 - 5:25)

What year?

[Speaker 3] (5:26 - 7:03)

This is 2003-04. And four or five, actually. And this time, funnily, it was a six-month course.

And you were supposed to, after doing your classes, also bartend. So it was literally like 14-hour days, 16-hour days. And for some odd reason, I still enjoyed it a lot.

And I kept doing it. I was at it. And I think where the biggest turning point...

I mean, there was this whole moment where I was like, okay, I'm going to be a bartender. I'm going to work in this place and that place. I was dreaming all these big dreams.

And then I realized that women are not allowed to bartend in India. It's actually illegal. Even today?

Today, to certain states in India. Women are not legally allowed to serve, also. Like, even

waitressing-wise.

Or be actually making drinks. So that was quite a stop for me. I didn't have the option to actually move outside of India.

I was barely managing it in Delhi. And that's when I kind of looked around and what to do. And that time, YoungDope actually introduced me to somebody who had just started off this website called DelhiHo.com.

It used to be working for marriage marketing companies, trainings. A lot of space. The space was the same.

Just not bartending. And I actually was their first employee. And I started with data entry and a lot of that.

But I actually still really wanted to be there. So I continued doing it with little money. And yeah, so those years were a struggle.

But I also think that I actually looked back very, very fondly at that time. Because those were my... I feel I was very lucky to find the space to still continue in the industry without actually have the option to do that.

[Speaker 5] (7:03 - 7:03)

And then?

[Speaker 3] (7:04 - 11:18)

While working in Delhi, I got to travel a lot. I traveled all over India. They were doing projects with Bacardi, with Smirnoff.

I was working extensively with these brands. These were the brands that were actually entering India. These are global brands.

Multinational global brands. And they were actually entering India for the first time. And so they needed bartender training programs, customer activation, a lot of below-the-line activation.

So I was part of all these multiple projects. I would actually take a flight every weekend to a different city. So it was Delhi, Bombay, Bangalore, Hyderabad, Calcutta, Punjab, Jaipur, Raipur, multiple cities.

I think that was like an intense, crazy two years of my time. And I loved every bit of it. Learned a lot, interacted a lot with a lot of people.

I learned about what the corporate means, how businesses work, how all the other things work,

right? How is the spirit made? I took courses to actually learn how gin is made, or how vodka is made, things like that.

And continued to actually grow in that space. And then I got my break in a company called Diageo, which is still actually globally number one in the world. And I started working with a brand called Captain Morgan.

Very short stint that time. It was a rum that launched. And so they launched in Bombay.

So their office was here. And then head office was in Bombay. And then in Delhi, they launched.

So we kind of handled Captain Morgan. And then I moved to Pernod Rica, which is another liquor giant. There I stayed for about three and a half years.

But during this whole time in 2000, I have to tell you, in 2006, I made my first Excel sheet of having my own bar. And I still have that Excel sheet of all the costs in the world. And at that time, I called Amit Burman, the founder of Darbar.

And at that time, he used to run a bar in Delhi called Forum. And I took one hour of his time asking him, how much does the glass cost? How much does the kitchen cost?

How much do you pay your manager? I had no idea how to build the sheet, right? So I built it and very nicely actually gave all the details.

Heard me out. And then, yeah, the dream was alive. And Yangdup and I kept talking.

He was a trainer, very well-established bartender, mixologist. He's an author. He's many, many things.

And so we kept talking about doing something together, starting our own bar. And at that time, I think the dream was to have a bar for people like us. That was always the conversation.

We were like, where are the bars where you go quietly, sit, chat, have a good drink? Why are all the bars so loud? Why do they expect us to dance right now?

Or, you know, dress up all the time. You know, where are the bars which when you go to London, you go to New York, you go to... I mean, West was our...

Mostly, that's our direction. You know, that's how you get inspiration globally in this space of spirits and bars. And we used to always talk about it between us, that where are the cool bars, man?

Like, where are the... There are pubs. There are beer places.

Of course, we've always had institutions which are amazing, even at that time. But good cocktail

bars with cool bartenders talking to you and serving you and owners being there for you does not happen. Here, there are all, you know, owners who will walk into, you know, this Saab cup table aagaya and Saab ke friends aaye hain and the managers are like...

It's a very different culture, right, in India, when it comes to bars. And so, yeah, so we kind of went through it and we went through looking for investors, we had our conversations and finally we realized that nobody's going to give us money to start our bar. And we really wanted to be in South Delhi.

That was our dream. But you know what they say, that God gives you the opposite of what you want. And then we finally found a place in Gurgaon, in a basement in Gurgaon.

It's still like kind of in the middle of nowhere is how a lot of people refer to it. People who know this place, it's called Cocktails and Dreams Speakeasy. That's our first bar.

We started it in the basement. Yungdup was the bartender, I was the waiter. That's how we like to put it.

And we had two more people to help us and we had about four people in the kitchen. Do you have live music in this bar? Yes.

I think I've been here. Amazing.

[Speaker 4] (11:18 - 11:21)

You had a regular customer who was there at least four times a week.

[Speaker 3] (11:21 - 11:29)

Yeah, like I told you, Suchit was one of our first guests. How often does he come? Now, you know, he's married and he has a kid, so things have changed.

[Speaker 5] (11:29 - 11:31)

He should be there four times a week with four different people.

[Speaker 4] (11:31 - 11:52)

Is there a correlation between being single and going out to a bar? I think that time, I think it just happened naturally because that was one of the cooler bars. I mean, that was the only bar which was close to home.

Why did you go there, Suchit? Because I wanted to drink cocktails and there were not too many places in the city at that point in time which would serve cocktails.

[Speaker 5] (11:53 - 12:00)

How many people walk into a bar for the taste of a cocktail and how many walk into a bar for the people in the bar?

[Speaker 3] (12:01 - 12:40)

So majority of the people will come for the entire experience. It's never one thing. Yes, cocktails are, of course, cocktails and food, boys, are very much, you know, your center.

That's your point of sale. You have to sell cocktails and food. Otherwise, you're not selling the lights and the table and the chair, right?

So I have to make money from that. So I have to get that right. But other than that, music, lighting, people, servers, all of it, even the comfort of your chair.

Like the number of times we have, we have made our own furniture ourselves. Even now, today we are making our own bar and we're still making the furniture ourselves. So it's like, it's part of who you are, right?

It's the craft of it.

[Speaker 4] (12:40 - 12:51)

And also you can go to your bar and be like, okay, talk to the bartender and be like, okay, I do not like this. Make me something else, which was amazing and not too many bars would be doing that back in the day.

[Speaker 3] (12:51 - 13:00)

Yeah, Young Duke was all about that. He used to make drinks as per people. So he, I still know the drink that Suchir used to have.

And to date, he used to have this popcorn shot like a crazy person.

[Speaker 4] (13:01 - 13:04)

And after a few, everyone in the bar would be having that shot.

[Speaker 3] (13:04 - 13:26)

It's amazingly, it's a no-brainer, okay. So yeah, so bars are a lot about comfort and you know, knowing people. Many, many things.

So if I, I can't just put like my finger to it. But yes, of course, food, drinks, music, ambience. If you just make pillars, there are four, five big pillars.

So these are like, you have to have them sorted. And then everything else, hopefully aligns.

[Speaker 5] (13:26 - 13:30)

So you started Cocktail and Dreams in 2012.

[Speaker 3] (13:30 - 13:30)

Yeah.

[Speaker 5] (13:30 - 13:33)

And then how did Sidecar happen? Sidecar is Asia's...

[Speaker 3] (13:34 - 13:53)

World's, yeah. So we were part of world's list. We are part of Asia's list.

We are part of, we are number one in India for the last consecutive three years. Number one bar in India. India, which is so much more stressful than the international awards, I'm telling you.

Really? Because it's pure, man. You know what I mean, right?

Indians, voting for Indians and being number one.

[Speaker 4] (13:53 - 13:59)

It's actually not because every time there's a competition in the country, I know the top three. Who are the top three? It'll always be Sidecar.

[Speaker 3] (13:59 - 14:01)

No, Baba, stop it. That's not true.

[Speaker 2] (14:01 - 14:02)

But you know her.

[Speaker 4] (14:03 - 14:03)

Who are number two or three?

[Speaker 2] (14:04 - 14:05)

There'll be one by Bose, I think, will happen.

[Speaker 3] (14:05 - 14:06)

Sorry?

[Speaker 2] (14:06 - 14:07)

Arijit's bar is, you know.

[Speaker 3] (14:07 - 14:08)

Yeah, but yeah.

[Speaker 2] (14:08 - 14:10)

They, they have a...

[Speaker 3] (14:10 - 14:11)

Spirit Forward is just, yeah.

[Speaker 2] (14:11 - 14:13)

So among the top three, you would probably... You might have been to Spirit Forward, yeah.

[Speaker 3] (14:14 - 14:17)

Spirit Forward is... So the bar industry is very small. We all know each other from...

[Speaker 1] (14:17 - 14:25)

But how much would be your revenue? Because Sidecar is known for the best cocktails. So between cocktails and spirit.

What would be the...

[Speaker 3] (14:26 - 14:30)

I'm sitting at a very good 85% cocktails and... 85%, wow, fantastic.

[Speaker 5] (14:31 - 14:41)

So I think moving on. So, you know, when I heard about you first, Riaz called me one day and he's like, you have to invest in Goa Brewing Company. I'm connecting you to him.

[Speaker 2] (14:41 - 14:43)

That's so sweet of Riaz.

[Speaker 5] (14:43 - 14:57)

What is the story of Goa Brewing Company? And why are so many people vouching for you in a world riddled with... many different Indian independent beer brands?

[Speaker 2] (14:58 - 17:47)

I think vouching is all their kindness. I'm really grateful to everyone. But I think from a story, I grew up in Panjim, small town of Goa.

Parents worked as government employees. Mother, father both went to work. So we were literally, you know, had the whole town to ourselves.

It was very navigable as kids. Great life. You know, went to hotel school because couldn't get into any engineering college.

I could go to some rural college of engineering, but that didn't seem exciting. I took a year off. You went to school in Goa?

Yes, I went to school. Everything in Goa until I graduated. Your dad was posted there?

No, no, my dad was working in the... He joined as a land surveyor. Parents were first generation, moving from village to the city, educated.

So their entire focus was to educate us as kids. Younger brother who also again lives in California. And while we were growing up, I think there was varied experiences also.

You know, Goa is quite charming that way in terms of it had its own micro culture. So you saw a lot of people, travelers, tourists, you know, people visiting. And you were also exposed to a completely different life, which was very different from what you were living in your small town.

And then I joined hotel school. I went to IHM Goa, graduated, but it really didn't feel like working in the hotels. So I was just looking for a job and Kingfisher, the beer company was hiring.

And I just went for an interview. I had no experience. They just, I don't know, offered me the job because I was extremely like, you know, N2.

What year was this? This was in the year 2006. So that was the first understanding of how, you know, the liquor industry works, you know, because beer operates almost like FMCG.

And when you are working for a large beer company, you are the operational length and breadth of it is unlike any other alcohol category. I think beer has to reach the last. You wouldn't travel like for a wine, you may go a little further, but for beer, you will want it very close to your home.

It's very different. So it operates very fast. You order.

So if in a liquor company, order cycles, maybe once in a month in beer, you get like every three,

four days. So operationally, very, very exciting. Got a sense of that.

Then I got a job to work with Pernod Rica, which is this French company. Great time to join them because it was entirely actually built by Indian executives, Param Oberoi and these guys.

[Speaker 1] (17:47 - 17:48)

He's also in Goa now.

[Speaker 2] (17:48 - 17:49)

That was Seagram's then.

[Speaker 3] (17:49 - 17:51)

Were you in Seagram or in Pernod?

[Speaker 2] (17:51 - 18:13)

No, I was in Pernod by then, but Pernod had acquired, it's very interesting that when the Seagram's family, which owned, which was the world's biggest liquor company, the founder wanted to just sell out and there was nobody who would buy it. So it was split between many people and nobody wanted to take the India business and Pernod got it and Pernod turned it around. And today, I think...

[Speaker 3] (18:13 - 18:15)

Made it massively profitable.

[Speaker 2] (18:15 - 18:53)

Yeah, like 25,000 crores in revenue. It's, I think, the most profitable liquor company. But so the DNA was very interesting while I was working at Pernod.

You had great executives who were very supportive of talent. So got to work within Pernod. So from Goa to Chandigarh, which was again like a complete 360 degrees shock for me.

And I looked after marketing for Northwest India. Got a very different sense of how India is. Then moved to the brand team where I was given one of the biggest brands to manage for a short time.

I was looking after Royal Stag, which is, I think, I don't know if it's still the biggest, but it was quite big.

[Speaker 1] (18:53 - 18:56)

So when did that campaign come, No Artificial Flavors? Was it by you?

[Speaker 2] (18:57 - 19:02)

No, no, this was before me. Yeah, No Artificial Flavors. Yeah, that really clicked.

This whole green whiskey story.

[Speaker 3] (19:03 - 19:05)

When I was there, Royal Stag became the number one in the world.

[Speaker 2] (19:05 - 19:06)

Yeah, it was number one.

[Speaker 3] (19:06 - 19:08)

Highest, yeah, biggest royal blossom.

[Speaker 2] (19:08 - 19:10)

It's still number one, right?

[Speaker 3] (19:10 - 19:14)

I mean, I don't know today, like also that category is very...

[Speaker 4] (19:15 - 19:17)

Number one is, is it in revenue or in volume?

[Speaker 3] (19:17 - 19:18)

Not revenue, yeah.

[Speaker 4] (19:18 - 19:20)

It's in volume, volume, volume, volume.

[Speaker 3] (19:20 - 19:23)

There's a royal challenge and these guys are sort of neck and neck.

[Speaker 4] (19:23 - 19:25)

No, no, royal challenges come down.

[Speaker 1] (19:25 - 19:26)

So now Royal Stag is there.

[Speaker 5] (19:27 - 19:32)

They say UB has 25% market share today. Is that approximately right? UB with Diageo?

[Speaker 2] (19:32 - 19:41)

Or you're talking about the United Rubies, the beer company? Diageo. With Diageo.

With Diageo. Yeah, it must be. I think they will...

Okay. 300 million case in that.

[Speaker 1] (19:41 - 19:53)

So now like, the Diageo has given off the less expensive brands in brew. Earlier their market share would have been about, close to about 35.

[Speaker 2] (19:53 - 19:53)

Yeah.

[Speaker 1] (19:54 - 19:57)

So now they'll be same about 20-25. Right. Interesting.

[Speaker 4] (19:57 - 20:01)

They didn't want to get very deep into the smaller cities and stuff. They want to focus more on the premium.

[Speaker 1] (20:01 - 20:04)

Those were the economy segments, which makes no profit. Yeah.

[Speaker 5] (20:05 - 20:10)

So what was the opportunity you saw in Goa brewing? What sets you apart from the rest?

[Speaker 2] (20:11 - 20:40)

So while I was working, the only thing I used, whatever income that I got was to travel. So I initially with the small salaries, I could travel in Southeast Asia, just backpack. And when I finally got to go to the US, I think this was somewhere around 2013-14, I was on a flight from London to

New York and like a United Airways, like the cheapest ticket right at the back.

You know? So, you know, that's like, you're happy about it.

[Speaker 4] (20:40 - 20:41)

That's luxury.

[Speaker 2] (20:42 - 21:41)

And I'm sitting there and I'm waiting for the trolley with like, you know, with the drinks coming. And I'm just very observant of people. So I always, I was just looking and there were all these kids who looked very hipster.

Hipsterism was in and all the, you know, what do you call it? The turtle shell frames. And everybody was picking up this green can.

And I was just super curious. And this is taking so long. It's a transatlantic flight.

So 20-30 minutes down and I'm just waiting. And then it reached me and I said, do you know what that green can is? And she, this woman just looked.

And she said, oh, that's the last one. It's your lucky day. And that was an IPA.

And I never had an IPA. I'd worked in liquor for 10 years. Not 10 years.

I must have worked in liquor for seven years. IPA is Indian Pale Ale. And I cracked open the bottle can and I poured it, had the first sip, the burst of hop aromas and like what authentic craft beer is.

And I was just like, like shit, you know, I mean, what am I, what are we making?

[Speaker 5] (21:42 - 21:44)

Can you elaborate a bit? What is Indian Pale Ale?

[Speaker 2] (21:44 - 23:30)

So it's a very interesting story. So Indian Pale Ale was made when the British couldn't ship fresh old beers to India because they would get spoiled on the journey. It was on the sea.

So some brewers in London decided to increase the alcohol percentage and also add a lot of hops. So hops are, you know, they're anti-bacterial, but the ish loves it. So from a microbiological standpoint, it could work.

What are hops? Hops are like, it's a bud of a creeper. It's very, yeah, it's a botanical plant.

So it's the bitterness and the aroma of beer essentially came from hops. So the main problem was when you didn't have temperature control back in the medieval ages and you still brewed beer, you often found the beer turned sour. And then the brewers would just experiment with like the French brewers would put something and then somehow someone realized that, okay, if you put a lot of hops, it controls the bacterial growth because you didn't have the sanitation of today and you didn't understand microbiology that well.

So in fact, beer was given to, you know, farm workers as a ration because it was healthier than water. Because water, beer goes through the whole process of getting heated and cooked. And so when this beer started coming to India, it was made for India.

And when Indian breweries got set up, I think the first ones in Solon and everywhere, this shipping was not needed anymore. So the style died for almost 140, 150 years. Nobody really even heard of Indian palate.

And also I think the Indian palate did not... It's not in India at all. Even in the West, it died.

[Speaker 4] (23:30 - 23:33)

Because also it's way more bitter than...

[Speaker 5] (23:34 - 23:37)

So was the green can you had on the airline an Indian company?

[Speaker 2] (23:37 - 23:42)

No, no. India Pale Ales were never made in India until maybe 2015-16.

[Speaker 3] (23:42 - 23:43)

It's a category.

[Speaker 2] (23:43 - 23:46)

Like how you have a stout, you have an IPA.

[Speaker 3] (23:47 - 23:49)

So most of the beer brands would have an expression of...

[Speaker 1] (23:49 - 23:51)

Because it was being shipped to India.

[Speaker 2] (23:51 - 23:52)

Shipped to India.

[Speaker 1] (23:52 - 23:54)

The British brewers called it IPA.

[Speaker 4] (23:55 - 23:56)

And then in the 80s...

[Speaker 3] (23:56 - 23:59)

In the same way, like, fortified wines happened. Same way. Like they added alcohol to keep it alive.

[Speaker 4] (23:59 - 24:13)

So it had a higher amount of alcohol. Yeah, a little. But still if you look at the market, like IPA, when you want to be a beer drinker, try a new beer.

They don't usually end up liking an IPA. They'll still go for a lager or a Hefeweizen.

[Speaker 5] (24:13 - 24:14)

Because it's more bitter.

[Speaker 4] (24:15 - 24:19)

It's an acquired taste. What would be the difference between Guinness and this? But a beer nerd loves IPA.

[Speaker 3] (24:20 - 24:24)

Like we start with milky coffee and move to... You know, it's the same. I think the palate grows, right?

[Speaker 2] (24:24 - 24:24)

Yeah.

[Speaker 3] (24:24 - 24:25)

Like it's the blue cheese and amul cheese.

[Speaker 2] (24:25 - 25:20)

Yeah, yeah. It's all evolution. And, you know, the category really took off because there were like

this very passionate, you know, absolutely, you know, authentic brewers, home brewers in the West Coast who decided to start, you know, challenging the status quo of these big corporations.

So the big beer back in the day in America was all mild lagers and everything. So these brewers started making small batches, I think. And then the style that became very popular was IPA and it was invented by the brewers like Stone Brewing, Lagunitas, the first generation craft brewers.

And they also came with a great culture. They were really trying to... They were also contemporaries of, like, you know, the tech companies and, you know, very open work culture happening in the West at that time.

So this was like on the beer direction. So that's how IPA became popular.

[Speaker 5] (25:20 - 25:23)

So how did that relate with you starting Goa Brewing Company?

[Speaker 2] (25:25 - 26:40)

So I had a plan to go and visit, like, you know, friends and travel in the US and see what not, you know. What were you doing back then professionally? Working.

I was working for... Those days I was working in Chandigarh, I think, yeah. For?

For Purno. Okay. So whatever money I saved, I just would use it to...

So you saw this green can, you were like, IPA is great. Kick ass. Then?

So I read the can. I was like, this is insane. Like, how can we not make product like this?

And I was always, like, thinking within the companies, what can you do to create new product? I was very, like, trying to shake those within that organization. I've just was, I think, waited.

I remember, like, pacing in the flight, wanting for the doors to open. When I landed, I just went to the brewery that made it. Then I just kept traveling, going from one brewery to other.

Then I must have, on that trip of three weeks, I must have gone to maybe two or three breweries a day. I didn't even meet my cousins. I said, like, I was totally obsessed by the idea.

And it was like, everyone was very open, friendly. The whole culture part of it was very different from how, like, how Indian liquor companies were very secretive. There was very, the movement was called poppy left.

[Speaker 5] (26:41 - 26:43)

Is that such a big thing in alcohol, the recipe?

[Speaker 2] (26:44 - 26:53)

Not so much. So Western brewers just publish their recipes. We also are very happy to, you know, like, tell people what style it is.

We describe it very in detail.

[Speaker 3] (26:53 - 27:01)

I think the legacy brands hold it tight. It's the... No, like, in Hard I've Gone, the liquor ingredient is very, very critical.

[Speaker 1] (27:02 - 27:09)

Like, only the chief master blender, it's called as a black book. So, like, we don't share with anyone. Like, only I have it and my blender would have it.

[Speaker 3] (27:09 - 27:11)

And you, you are a legacy brand.

[Speaker 1] (27:12 - 27:12)

Started.

[Speaker 3] (27:13 - 27:13)

You know what I mean.

[Speaker 5] (27:15 - 27:23)

Yeah. Okay. So if I go to a wine store, why do I pick Goa Brewing Company over another beer which is on the counter?

[Speaker 2] (27:25 - 27:33)

The first basic differentiator is quality. You know, it is phenomenally different from any commercial beer.

[Speaker 5] (27:33 - 27:37)

Like, say, for example, I take a Kingfisher Strong, I take a Goa Brewing beer.

[Speaker 2] (27:38 - 29:33)

I mean, you could just taste it. You will immediately realize and how the beer affects you. Quality is a factor of what in beer?

So we are, what we do, I can speak, you know, because the word craft is also very broad and liberally used. But I mean, I personally take it with a lot of seriousness. And so we are absolutely like natural or nothing business where we don't even use any kind of extract or even fruit, which has like processed by any industrial company.

We would rather go straight and use as much as whole produce as possible. So we'll source our grains, we'll work very closely. So every part of your, the beer that you're drinking, if you read our label, all the ingredients you will be able to know.

They're all which you would find in your kitchen. It's nothing which is industrial or something. So that's because we are not really aiming to produce, you know, one lakh cases from one, like, you know, you're not scaling, you're not.

So the bigger breweries probably would, from one batch, they would produce 20,000 cases. And we would probably produce maybe six, 700 cases from one batch. So we work on slightly trimmed down equipment.

We've customized what scale is good enough where the quality doesn't get affected. And work to make sure that you are, so, you know, you're delivering a product that has a very good differentiation. At the same time, it also, you know, has that value.

We are Indians at the end of the day. If I'm going to pay 20 rupees more, I want to taste it. I want to feel it.

You know, if I have five bottles of people's lager, people say that it doesn't bloat them. It's clean. The next day is fresh because it's clean in terms of what ingredients go in making it.

And that's... How much does it cost versus Kingfisher? So our beers would be...

So Kingfisher, let's say, is about 50 rupees for a 330 ml. Just to give you a markup. We will be at 90.

[Speaker 1] (29:33 - 29:35)

Isn't it more than that? Is it a Goa pricing?

[Speaker 2] (29:35 - 29:53)

Just Goa prices. Goa is the cheapest in the country. So we would, and Budweiser would be at 65.

And, you know, so... That's it. Very cheap.

Yeah, that's for the 330 ml. And we would be at 90, which would be a 20, 25% upgrade. Over the premium category.

And then we have beers in every category.

[Speaker 5] (29:53 - 29:56)

And what margins does a beer company typically work on?

[Speaker 2] (29:56 - 30:21)

So, you know, with extremely high levels of efficiency, if you are producing mass, macro lagers, you probably get into the range of between 55%. And because they also recycle, a lot of bottles come back. It's very efficient in terms of cost structure.

And it can be stretched all the way to 60, but not consistently because you also operate on commodity prices also coming. Malt prices go up. Glass prices go up.

[Speaker 3] (30:21 - 30:22)

But taxes and all don't...

[Speaker 2] (30:22 - 30:25)

Taxes is out of your cost framework.

[Speaker 4] (30:25 - 30:40)

Your gross margin. See, the taxes go up, the prices also go up. Yeah, that's what I'm saying.

Taxes only affect this entire industry from state to state, which you realize the revenue. Taxes go to the government. But I think what cleverly you have done is you have differentiated your product by pricing it higher.

[Speaker 1] (30:41 - 30:42)

I think that is the main thing.

[Speaker 2] (30:42 - 31:16)

But I think we are also a little bit like carpenters, you know, to be honest. We make it at a certain cost. We have a simple, very clear idea that this is our margin structure.

We're not going to touch it. We don't want it to be outpriced. We're not aiming for...

We want to create great quality product. So the philosophy of Goa Brewing is simply, you want to create beer which is in the home refrigerator. We don't look at any other touch point.

We don't sponsor... Not bars? Bars keep our product for the product quality.

But we don't pay for entry into any bar.

[Speaker 4] (31:16 - 31:19)

Like Meenakshi's bar. I feel they don't have to.

[Speaker 2] (31:19 - 31:25)

Like owner-run bars are a great support system for us who appreciate quality. You know? Right.

[Speaker 5] (31:25 - 31:27)

How big is Goa Brewing company now?

[Speaker 2] (31:27 - 31:34)

In terms of... Sales? Sales, I think we...

Last year, we finished with 27 lakh bottles in the financial year.

[Speaker 5] (31:34 - 31:35)

And the money number for that?

[Speaker 2] (31:35 - 32:40)

So in terms of gross sales, we would have crossed 20 crore in terms of sales. And you've gotten funded also, no? By DSG Sama.

One of the first investments that... So that was another long journey into figuring it out. So competition is Bira mainly?

Bira's actually a very different play. Because Bira's... Bira also gets majority of its volumes from the same category as Hayward's 5000 and Kingfisher Strong.

Where it's the base category. And certain states, they really get a lot of volume. I think we do not have any kind of competition as such.

Because I think we fall in the category of brands which, you know, consumers really, you know, take, make that effort to even go one stop ahead to get that product. And they will buy a case and they will make sure that... Because that's the mode.

Interesting. Enjoy it. Enjoy it.

Thank you. Do I say Shuchir or Suchir?

[Speaker 4] (32:40 - 32:41)

Shuchir.

[Speaker 5] (32:42 - 32:50)

So we already know about Shuchir that his youth was focused around going to cocktails.

[Speaker 4] (32:52 - 32:54)

Youths I've had before though. But...

[Speaker 5] (32:54 - 32:59)

Meenakshi's bar four times a week with four different people. When did the journey...

[Speaker 4] (32:59 - 33:02)

I'm the eyewitness. A small part of it.

[Speaker 3] (33:03 - 33:03)

Okay.

[Speaker 5] (33:04 - 33:11)

So when did you like get your act together and become a family man? The most... A family man is a different story.

The question in the most traditional sense.

[Speaker 4] (33:11 - 34:21)

Family man happened about five years back. I actually met my wife at one of my own events. But I've always done events.

So since I was in school, I was not the best student. But I was always involved in organizing stuff for school, with friends. I've always been an organizer.

So it was a very natural transition for me to be in the industry of entertainment. Along the way, I started post-college. I started getting artists down to the country.

I started my first company when I was about 17-18 years old, where I would get a company called SpottedClub.com where I would send photographers across bars in Delhi, Bombay, Bangalore. They would take pictures and upload it within 24 hours onto this website. And...

But I would always create experiences. And I realized that the only way I could monetize this was via alcohol brands. So when I was 18 years old, I got this artist into the country called Edward

Maya for the first time.

And I was an 18-year-old, had no idea about sponsorships. I walked into the Bacardi's office randomly. I stayed in Gurgaon.

I walked into Bacardi's office. I got a meeting through the...

[Speaker 5] (34:21 - 34:23)

Was he really popular in Delhi?

[Speaker 3] (34:25 - 34:34)

Subjective right now. You don't want to put him above this, right? Let's discuss that.

No, he was. Massively connected, extremely social.

[Speaker 4] (34:35 - 34:39)

But like I said, that's my mode. I just knew how to get people together.

[Speaker 3] (34:39 - 34:39)

Yeah.

[Speaker 4] (34:39 - 34:52)

And I knew how to have the best parties and... But I did not have experience, right? So I was throwing these amazing parties.

I was making money off it. But at a point of time, I had a downfall. So I remember these events...

[Speaker 5] (34:52 - 34:53)

How old are you now?

[Speaker 4] (34:53 - 34:54)

I'm 35.

[Speaker 5] (34:55 - 35:40)

There's something about this. I have a couple of friends in Bombay and Bangalore who are really cool, organizing great events at a certain point in their life. They all have a change of heart where what was once really appealing and validating for them stops being validating at around the age of 35, 35, 40.

Why is that? Actually, for me... I take great offense to this because when I watch some of these guys who are making money, having a good time, being very social, in many ways, doing what they love, why do they stop it and then try to do something completely different at a later half of their life?

[Speaker 4] (35:41 - 36:39)

I don't think I've stopped it at all, at least from personal experience. I realized very early, whatever I do in life, I'll have to build my business around it and I could not do a 9-to-5 job. I was very clear about that.

I had to be doing something in which I have fun. So I had this one party which did not go very well, which was a very big talk of town. It was called...

Oh, it was a New Year party where we ran out of alcohol, organization was not the best. In one month's time, I decided I was a small partner in a nightclub. I sold that off.

What went wrong? The partnership that I was in at that point in time who I partnered with to have this party, that did not work out for me. And my responsibility was perfect.

What I executed as part of my responsibility was on point. I'm thinking Delhi, someone shot somebody. That's the same party I'm talking about.

Oh my God. Such a disrespect. No, but that's fine.

That did happen at that party.

[Speaker 3] (36:39 - 36:43)

We were all fine. We were all playing around. Is that at your bar?

No, of course not.

[Speaker 4] (36:44 - 36:44)

No, no.

[Speaker 3] (36:44 - 36:46)

We don't have people like that.

[Speaker 4] (36:46 - 36:47)

Within one month's time...

[Speaker 3] (36:47 - 36:51)

No, I didn't arrive yet. We didn't arrive yet. Oh God.

[Speaker 4] (36:52 - 37:35)

So within one month's time, I quit whatever I was doing. And I joined... Who's also a mentor to me.

I joined a company at a very low... I was making lots of money. I realized that if I want to do what I want to do for the rest of my life around what I want to do, which is entertaining people, I have to understand how companies work.

So I joined Roshan Abbas. He was running a company called Encompass at that point in time. I joined as an assistant manager at a very low salary.

But the three years I spent there, all I did was understand invoicing, taxation, purchase orders, how to... vendor management. Give me the secret recipe to throw a killer party that everybody wants to show up to.

[Speaker 5] (37:35 - 37:35)

One line.

[Speaker 4] (37:35 - 38:29)

So what I do now is experience. So what I learned from that and what I do now is the same thing I'm doing for 100,000 people across three cities with one IP that I run called GeneXplorers Club. It's just corporatized, right?

That time financing was... I had to sell tickets to finance. I had to go behind sponsors to finance.

Now financing, thanks to these ticketing partners has become much easier. Alcohol brands are spending more money on getting experiences. People are getting...

People became more music sensitive. They would come for certain acts. So basically what I do now is exactly what I was doing back then but I'm more organized and I've built a successful business only focusing on the alcohol industry.

So watch brands come to me. Luxury brands come to me. I say no to everyone.

What I know very well is alcohol. I know how to say... I'm their friend.

Right? So I work with multiple of his brands. I built out one of his gin brands.

[Speaker 3] (38:29 - 38:34)

He's an important guy. If he comes to the bar and says, this is a cool bar, then you make it in the

list.

[Speaker 1] (38:34 - 38:59)

What he created this Gin Explorer Club is one of the most fantastic properties. And it's like a carnival. Music, food, the alcohol and it's like to a different level.

Like for our gin also Jaisalmer which is now the largest luxury gin. We had a launch in his GEC and immediately it became popular. So what he has created is...

[Speaker 4] (38:59 - 39:10)

So at that time also people were not okay. Brands were not okay with partnering an event where other brands were involved. So we were fortunate enough to get all the gin brands together back then.

[Speaker 3] (39:10 - 39:12)

The first GEC at Olive.

[Speaker 4] (39:12 - 39:12)

At Olive.

[Speaker 3] (39:12 - 39:13)

That was so beautiful.

[Speaker 4] (39:14 - 39:25)

Actually GEC started when Anand at Anand's bar. So that's where the idea of GEC started. When there was a gin boom which was going on because of the cocktail.

We were actually also the same...

[Speaker 3] (39:25 - 39:26)

Anand is the founder of Greater Than.

[Speaker 4] (39:26 - 39:47)

Oh, I know. But that being said, now Gin Explorer Club will not only be Gin Explorer Club. We'll be dropping gin and we'll be entering more categories under the same festival.

Tequila is something which I'm very passionate about. Tequila, is it really blowing up like we think or is it only in the affluent circles? Globally it's blowing up.

India will always be in the affluent circle.

[Speaker 3] (39:47 - 40:00)

And much smaller than gin. But as per the ISWR report now it's actually growing three times which is a very... but on a very small base.

So it's like saying one glasses have now multiplied to three. But it's growing faster than everything else, right?

[Speaker 1] (40:00 - 40:08)

But the volume base is very small and it's only the top level tequilas which are growing. Because if you see the lower level tequilas they're not selling at all.

[Speaker 3] (40:08 - 40:12)

So we're still a whiskey market. Like we will be a whiskey market for a really long time.

[Speaker 5] (40:12 - 40:16)

So you run Food Talk India which is the largest food community in India?

[Speaker 4] (40:17 - 41:13)

That's how we started off. But right now I'm focused on Anthem which is a marketing agency which focuses on the Alcobev industry. Under that we have an IP called Gin Explorer Club.

And I've serviced Pernod, Diageo all these brands that do their marketing strategies, activations, events. And along the way I built a beverage brand called Jade Forest because I wanted to be in the space. So I was like I can't create my own alcohol.

So I created a mixer brand. Why can't you create your own alcohol? It's expensive.

At that point of time I actually sat with Lama also at a point of time to create my own alcohol. I was just scared. Red tapism.

Every state has their own excise duties. And even while I run an alcohol agency people look at you very differently even when they're going to apply for a license for a cocktail festival. You're promoting alcohol.

They'll drink alcohol at home at night. But they look at you in a very different way.

[Speaker 3] (41:14 - 41:15)

You're the shadiest of the lot.

[Speaker 4] (41:16 - 41:18)

Always. But now it's changed.

[Speaker 3] (41:20 - 41:35)

Where are you hiding out of shame? Who's changed? We're talking about larger sense of the word.

It's still very taboo. I mean India has always been taboo. We've...

It's still a dark market. What that means is that you can still not advertise alcohol.

[Speaker 4] (41:36 - 41:36)

It's all surrogate.

[Speaker 3] (41:36 - 41:37)

So we are under surrogate.

[Speaker 4] (41:37 - 41:38)

That's what I realized.

[Speaker 3] (41:38 - 41:39)

It's below the line.

[Speaker 4] (41:39 - 41:41)

That's what I want to do because it's a dark market, right?

[Speaker 3] (41:41 - 41:45)

So that's... I want the marketing money. So in fact one of the biggest amazingly genius move on his part...

[Speaker 4] (41:45 - 41:46)

We can't spend anywhere else, right?

[Speaker 3] (41:47 - 41:48)

Yeah, and amazingly...

[Speaker 5] (41:48 - 42:36)

We'll come to this as a topic because see at the end of this episode we want to tell young people how to have a job in alcohol, how to build a business around alcohol, how to create cool alcohol brands, ancillary cocktail mixes, wherever the opportunity is. Last but not the least, Abhishek. I have to preface Abhishek's introduction.

So we are a very small miniature partner to Abhishek in his business as an equity partner. It's an investment that has done very well. For us.

We've never spoken about it publicly but we've spoken like privately many times about it. I think it's 1.6, 1.7 percent. Yeah, pre-IPO?

[Speaker 1] (42:37 - 42:42)

No, no. From the open markets I think close to 500 crores the whole day. I think 400 crores.

[Speaker 5] (42:43 - 42:51)

Near 400 crores of Abhishek's stock. Radical. Which is a great investment for me.

So... Don't blame me for being a bit nicer too.

[Speaker 3] (42:53 - 42:56)

Let's tell this story. Let's tell this story.

[Speaker 1] (42:56 - 42:57)

He got caviar.

[Speaker 3] (42:58 - 43:02)

That's how this is working. He's like you're vegetarian you have caviar.

[Speaker 1] (43:03 - 43:04)

I can't see the caviar.

[Speaker 5] (43:06 - 43:09)

But tell us Abhishek you have legacy in this industry.

[Speaker 1] (43:10 - 47:27)

I read, I didn't know but 70 years really? No, actually see our company was formed by the Goan brothers in 1943 and then in 1973 my dad bought it over from Mr. Sanjay Dalmia. And so from 1973 our family is into the alcohol business.

And I studied in modern school. And I always say I'm in the business of making people happy. In Bangalore you were in boarding school, right?

No, modern school was in Delhi. And then college in Bangalore. Then college in Bangalore.

So for me from the beginning of my school days I always wanted to create a brand. I love alcohol. That's why I'm happy because I practice what I preach.

So I love each kind of alcohol. And by nature I wanted to become a CA but as God had it in store for me my mom didn't want me to do 4 years of CA and then 3 years of college then 4 years of CA then 2 years of MBA. So I landed up in Bangalore for my engineering.

And I think the kind of homework I did there by visiting all the pubs everything, paid me very well. I think Bangalore has been my biggest inspiration of what Radico is today. Because Bangalore is always known as the pub city and every street had its own pub.

the liquor consumption that time was like liquor consumption was not like an FMCG. It was more like a system where you push your material. It was not a consumer's choice.

But Bangalore was the only city where you could see the liquor as an FMCG. So I did my engineering there and then in 1996 I finished my engineering and everything which could go wrong happened to me. I was that time I think 22.

So we had a separation in our family. My father were 4 brothers and we got Rampur distillery. That time I think the turnover of the company would be about 70 crores and I had a liability of 50 crores.

And the profit would be kind of zero. What year was this? This was in 96.

That's the time I joined business. Also we had a bottling contract with one of the leading players in India which got over. So my entire revenue system was over.

Company was kind of in losses with 50 crores liabilities. So that time I went to one of the largest bottlers with dad and made us wait for 5-6 hours and wanted us to take in the company. So that's the time I went to dad and said dad we are already dead.

Now our back is against the wall and I really want to create a brand and let me try and do it. So that's the time as a company we decided to get into brands. And one of the biggest task for me was to change the name of the company.

So the company was called Rampur distillery and chemical company. And I was 22. We had 11 foreign companies in India.

That is the time there was a myth the amount of scotch consumed in India is more than what is

bottled in Scotland. And here a 22 year old guy coming, no money, nothing. It was a different scene.

So first of all it took me 3-4 presentations to my senior team and the age was all high. I was 22, they were all 40-50 years old. So I changed the name of the company from Rampur distillery and chemical company to Radico.

RA of Rampur DI of distillery and CEO of company. So that's how Radico came into existence. But by the way I love this part of the story wherein I find this in many industries I'm going in to invest.

[Speaker 5] (47:28 - 48:21)

We have this Western baggage in India where innately Indians believe that if the product is foreign, it's better. Like I was telling you earlier, we still sell Indian clothing which is probably better quality with foreign models on the face of it. So when I saw this company which was making alcohol called Rampur and Jaisalmer in some cases which was not even aged as much as the Scottish counterpart selling for more than that and people would call me and be like when we spoke about alcohol they would be, you will only get it in the duty free and only sometimes.

Otherwise Rampur Whiskey will be sold out. So I was enamored from the very beginning in terms of how has an Indian brand been able to pull that off. I feel that way for all industries, not just alcohol and apparel.

[Speaker 4] (48:21 - 48:27)

Sometimes I'm sure your bigger market in your earlier years of products like Rampur would be international, right?

[Speaker 1] (48:28 - 50:53)

No, I'll come to Rampur little later but so that's the time like what we did is because monies were limited so and you had to be pan India else your marketing bucks would go waste. So I hired a team of 100 people the average age of my team would be 24. Now what I thought if I get experienced guys they'll ask me a lot of salaries second they would not agree to what I am saying.

So my average age was very less so my payout was less then literally I went to 10 people begging them that please bottle for me I could not put up so it's outsourcing, co-packing what you're saying. So I said I'm 22 and a half I want to create a brand blah blah blah I'm not going to run away so please bottle. So I got 10 people to bottle for me and then in 98, 8th August 98 we launched our first brand 8PM Whiskey and luckily the ad was very famous it was one of the best ad of the century the India Pakistan ad this thing it was nominated as one of the best ads.

What was the ad remind me? It was a border ad it was two generals and then at the clock strike the cannon goes up the clock strikes and then they pass the whiskey it's called time for friends. It's a very popular ad so that's how we started then from 98 to 2006 we mapped out that which are the low lying sectors, the economy segment or the popular segment, the mass market and we became from 0 to 10 million cases What is that in money terms?

10 million cases that would be what a turnover of about 600, 700, 800 crores 800 so that is what we did and that was fascinating then the most important which was a turnaround in our this thing is I was in Vegas and for me all the good ideas either come after 8PM or at bars because I think that is my biggest learning that's where I can see the consumers what they want you interact either at the bars or at the shop Have you guys been to his home in Delhi?

[Speaker 5] (50:54 - 51:34)

Not his home I've got 7 bars He lives like Batman What? We had an idea of starting a tequila brand with a certain famous person. I took a bunch of friends to his house recently for dinner outside of all the alcohol that might have been in his house so I went in the hotel taxi and we were going back so when we were leaving Abhishek sent a Rolls Royce, a Bentley and one or two other cars like that and we went in like a posse of cars and I was like what is going on and my Innova which was from the hotel was following me from the back

[Speaker 3] (51:36 - 51:39)

Bangalore vs Delhi Very close people

[Speaker 1] (51:43 - 54:49)

Bangalore also have lot of people much more than Delhi So that I won't get it So anyway I was in Vegas so there what I saw that people were ordering Vodka on the table Grey Goose and the whole trend was changing because earlier you never used to show your bottle off so you know the bottle has to be a piece of art and the concept came that there was an ice bucket the bottle was there and people were proud to put the bottle on the table so I said we need to create a Vodka and we want to go and premiumize so that's the time I came back I wanted a decorated bottle but we didn't have money to get the machines so I think no one knows this so I met up with Kabaddi Walas so the first bottle of Magic which was produced was dipped in acid with a paper label and it looked like a frosted bottle and everything so Magic was born in 2006 then it kept on innovating and today we are proud because I always believe that 25% of the global market is Vodka in India at that time it was only 2% now it's changed to 4% the Vodka consumers are basically the younger generation that is youngsters and women which if we see our demographics year on year every year like 15 million people are going to come into the drinking age so I thought that is the right thing to do so that's how Magic came and today we are proud that Magic is the 7th largest Vodka in the world and in India out of all the Vodkas starting from a

regular to a Grey Goose or a Kaufman 60% of any Vodka sold is Magic so that has been one of the turning points for us and then what happened is we had Morpheus which is the largest premium brand so even if you see the packaging what I believe packaging is the first thing which attracts to a consumer second is the most important, the blend has to be good and when you actually make a brand is when people are proud to have that sitting together they are not shy away even if they like the product they like to display it then in 2014 UK and India always have this tussle that Indian Whiskey cannot be called as a Whiskey because it's not aged and that's the time if you see all the new age malts whether Yamazaki etc were gaining ground earlier Yamazaki never used to get sold today if you go to buy a 15 or a 18 21 year old Yamazaki, you won't get it in the market each bottle is more than a lakh of rupees for a 25 would be I think about 2.5-3 lakh rupees

[Speaker 2] (54:49 - 54:51)

and then they also removed the label they removed it

[Speaker 3] (54:51 - 55:00)

they called me and said please buy us a bottle buy a bottle in fact I was in hedonism

[Speaker 1] (55:00 - 55:10)

a bottle of Yamazaki 55 guess how much was it retailing for no idea 50 lakhs must be 6.5 crores

[Speaker 5] (55:10 - 55:14)

in people actually buy it's crazy

[Speaker 1] (55:14 - 55:16)

it's like art

[Speaker 3] (55:16 - 55:20)

it's like art but art you don't drink

[Speaker 1] (55:21 - 55:23)

no but nowadays if you see wine

[Speaker 3] (55:23 - 55:25)

and malt it appreciates

[Speaker 4] (55:25 - 55:26)

it appreciates a lot

[Speaker 3] (55:26 - 55:29)

there's a reselling situation

[Speaker 4] (55:29 - 55:30)

people invest into barrels

[Speaker 3] (55:30 - 55:35)

they actually get invited to these closed rooms in our company also they have invested in barrels

[Speaker 1] (55:35 - 55:39)

like a few of these auction houses I think

[Speaker 3] (55:39 - 55:40)

there are multiple auction houses

[Speaker 1] (55:40 - 56:23)

so that's the time we created in 2016 our Rampur Single Malt and today we have 7 expressions the cheapest is $100 a bottle and in fact lately we had 400 bottles of Chairman Reserve the first bottle was in London it was sold for 1 lakh which got re-auctioned for 2 lakhs so we had saved some bottles which is now in Hyderabad duty free and retailing at 5 lakhs a bottle and it sold out there's now I think only 2 left 400 bottles so that's 20 crores of sales no no I started with 1 but in the end there were 3-4 bottles left which we sold which is now retailing at 5 lakhs

[Speaker 5] (56:23 - 56:53)

there's a good insight on the market when we are pricing products across category if 400 Indians are willing to pay 5 lakhs a bottle they can pay 20,000 for a shirt shoes Indian made watches as far as we can push this needle of Indian craftsmanship and the ability of the Indian artisan in every department I feel like enough of white stuff here

[Speaker 1] (56:53 - 58:13)

why not our stuff sell there culturally we are more creative if anything Nikhil what I am saying especially our Prime Minister the Indians the kind of respect the kind of aura Indians have you know earlier they used to doubt the quality of Indian product but today India commands one of the biggest premiums that is why like our single malt is on allocation and we also launched like taking from your gin it can be always debated whether gin was invented in England or Holland but

gin and tonic was the invention of India in 1910 you will be surprised when there was a malaria outbreak so the Britishers what they did they had to have this quinine so they mixed quinine with lime water and sugar then they added gin so gin and tonic is the creation of India that's why every tonic water is Indian tonic water and how big is Radico now see Radico now is like our turnover last year was about 4200 crores and market cap is close to about 22-23000 crores

[Speaker 5] (58:14 - 58:19)

I read in the news somewhere that Abhishek had become a billionaire on Forbes how did that feel

[Speaker 1] (58:19 - 58:42)

see being a billionaire etc is all numbers it's all market but in the end what is more important that the Indian products going abroad create that name like our gin, Jaisalmer, Rampur because numbers will keep changing so that does not give me a kick once the products become global and respected I think that's the main kick about that

[Speaker 5] (58:43 - 1:00:03)

now that the introductions are over we will get into the meat of what we were here to discuss the intent is to find young people out there wannabe entrepreneurs and tell them how they can get a job in owning a bar, starting a liquor company, working in a liquor company, doing advertising for liquor companies this seems to be such a large ecosystem with so many opportunities but nobody, I looked up online, I searched a lot no one has articulated the A to Z journey when somebody gets interested and starts working earning a buck from this industry in a very tangible comprehensible manner so we will try and attempt to do that so before we talk about opportunities in this industry maybe a good place to start is by establishing how big the industry is which part of it is growing faster than other parts and then try to narrow in on what somebody looking to begin here should do would you say the hard liquor market in India is about 40 billion dollars no much more hard liquor 40 billion 50 billion is total market

[Speaker 4] (1:00:03 - 1:00:04)

size

[Speaker 5] (1:00:04 - 1:00:08)

and beer is about 12 billion something like that

[Speaker 2] (1:00:08 - 1:01:39)

so the interesting thing is India is the only country in the tropical zone where you do roughly around 350 million cases of hard liquor considering you also regular spirits also and about the same quantity of beer but if you compare it to Vietnam which is on the same heat temperature

distance Vietnam does 300 million cases of beer but only 30 million cases of hard liquor so we are extremely over indexed on hard liquor I think one of the key reasons is if you look at the psychology we have to look at urban India is very unlivable and one of the big consumption you know categories that the IMFL category gets its volumes from is the post work going home period which in the traditional liquor parlance you call it chaar yaar moment like four people working in different jobs would come together sit at a small thekha have that one break and then go home and you know look at the transit times within cities really short of time so this moment of like maybe taking a little break from your routine is very short hence the consumption style and pattern has also been developed around this so what happens is we are extremely over indexed on the 180 ml nip what is nip? so in terms of pack sizes I think 80% of the one is a full bottle which is

[Speaker 1] (1:01:39 - 1:02:12)

750 ml and then there is the smallest one 375 and 180 ml is a nip so what happens so what happens usually in the say up to a level of a semi premium segment that is up till say a royal stag so you'll see guys will meet at a place ahata it's called they'll buy a nip ahata permit room permit room so there they'll take a nip and they'll finish it and then go home for work go home for meeting their wives or anyone so that

[Speaker 3] (1:02:13 - 1:02:24)

so it's basically summarized as bang for your buck a lot of times this happens so if you have 1 hour if you drink 2 beers the high that you get versus you drink

[Speaker 1] (1:02:25 - 1:02:25)

180 ml

[Speaker 4] (1:02:25 - 1:02:31)

premium liquor it is different but for the it's the biggest because they like to get high

[Speaker 1] (1:02:31 - 1:02:40)

which is surprising nowhere in the world 80% would be strong nowhere nowhere what do people drink for

[Speaker 5] (1:02:40 - 1:02:58)

is it to escape is it to escape the monotony of life is it to get a high is it cultural in the sense that it's an activity that you like doing along with your friends and family why does India drink

[Speaker 4] (1:02:58 - 1:03:15)

it's also broken up into segments the country liquor drinking class they for them it's price point and they want to get high at the lowest cost what do you think I'll change there like I studied in Bangalore so he's talking about the country liquor or the lowest segment

[Speaker 1] (1:03:15 - 1:03:50)

so you'll be surprised these guys go to work at 8 am you know they do physical labor I've seen them because I used to have in my BMS college the industrial engineering side to break the hammer and everything like that so 6 o'clock you'll see that guy in a liquor shop and how they drink it is amazing they'll take a nip is called a spaghwa in Hindi so they'll take it boom and then they'll go for work it's so physical after their work they'll again come back have one more and then go home and sleep

[Speaker 4] (1:03:50 - 1:03:56)

and no need of a mixer so if they pick it up for 50 rupees now or 40 rupees that's a typical price

[Speaker 1] (1:03:56 - 1:03:57)

what percentage alcohol is this

[Speaker 4] (1:03:57 - 1:03:58)

28%

[Speaker 1] (1:03:58 - 1:04:04)

42% you have 26, 36 and 42%

[Speaker 4] (1:04:04 - 1:04:35)

so recently I've done a content series on country liquor which is doing very well for me so I've actually picked up country liquor from all over the country and I've been tasting them and they don't taste as bad because of the low ABV alcohol by volume which is not strong so a typical whisky which would be a 40% a thara which is your country made liquor is 28% so you can drink it directly versus a whisky that you need a mixer and they have all those local flavours

[Speaker 1] (1:04:36 - 1:04:43)

santra santra it's the local local flavours of India I've had one which tasted just like sambhuka

[Speaker 3] (1:04:44 - 1:04:48)

fun names I think these are fun names that'll be a fun content piece

[Speaker 4] (1:04:48 - 1:04:57)

and I had one which tasted just like sambhuka you put sambhuka and you put this other country made liquor you will not be able to tell the difference

[Speaker 5] (1:04:57 - 1:05:02)

this doesn't sound necessarily like a good thing right somebody gulping

[Speaker 4] (1:05:03 - 1:05:09)

180 ml it is irresponsible drinking but they don't have any other option right

[Speaker 3] (1:05:09 - 1:05:16)

mass level drinking it's to get high to answer your question it's mostly to get high quickly for the money that you've spent

[Speaker 5] (1:05:16 - 1:05:32)

what is the psychology behind wanting to get high why is this labourer who is making let's say 800 rupees a day to go and lift something for 8 hours or 10 hours or 12 why does he want to get high at the beginning of his day

[Speaker 3] (1:05:32 - 1:05:53)

it's the same psychology that a corporate CEO probably comes home and has a whisky at home before they sit down on the dinner table it's the same psychology you are tired you want to get away you want to spend your day not thinking about maybe work and socialising or talking to your friends or your work friends whoever you talk to but from that point of view it is that break

[Speaker 1] (1:05:53 - 1:05:55)

they don't want to because their life is so tough

[Speaker 3] (1:05:56 - 1:06:27)

it's physical labour it's taxing they have enough issues I feel I think it's a lot of that as part of Diageo Purno we did a lot of rounds in many many liquor stores permit rooms and one of the biggest learnings was that why are they sitting here and drinking they all need to get home in half an hour and then start that whole day again this is one break you got in the whole day where you could get away with your friends or whoever you drink with that's irrespective you can drink alone and still find that peace so I think it's that

[Speaker 5] (1:06:28 - 1:06:42)

because we can't go around this question do you think alcohol net net for society is good or bad

and explain why make a case on this side and on the other

[Speaker 3] (1:06:43 - 1:06:44)

I mean you are talking

[Speaker 1] (1:06:44 - 1:07:12)

see anywhere where alcohol is banned whether it was US etc it has led the economy into shambles what she is rightly saying drinking alcohol in moderation is very good like Kennedy time bootlegging even the doctors say a glass of wine or 60 ml a day is very good for the heart so I think anything in moderation is good so what you are saying is culturally

[Speaker 5] (1:07:13 - 1:07:26)

alcohol has been a part of our life for centuries and if you ban it what happened in US prohibition the money from alcohol will not go to you guys but it will go to the dark elements of society

[Speaker 4] (1:07:26 - 1:07:43)

I am not very good with the numbers of America but the younger generation that I tend to engage with once in a while they are not drinking as much as we were drinking when we were younger they were not drinking as much as I would drink when I was about the legal drinking age

[Speaker 2] (1:07:43 - 1:07:44)

even the younger generation in India also

[Speaker 5] (1:07:44 - 1:07:45)

maybe they don't have 4 friends

[Speaker 4] (1:07:45 - 1:07:55)

they are doing other things to get high but they are still getting high but they are caring about calories compared to what we would we didn't have those alternatives

[Speaker 5] (1:07:55 - 1:08:04)

interesting point do you guys individually believe that you become a different person a slightly different version of yourself absolutely

[Speaker 3] (1:08:06 - 1:08:46)

it's a chemical reaction in your body it's not just a product in the air I am not consuming fashion through my eyes I am actually consuming it in my body so it is actually changing there is a

molecular change that you go through when you have alcohol so how does Meenakshi change I mean I get more I love to dance and I love great music I mean some of us have seen us very drunk we have had some great nights and you also at any point in time whenever you are drinking your guards are down so you are more open to knowing people and talking to people when you are having a drink I think I have become funnier

[Speaker 4] (1:08:47 - 1:08:50)

I have become more social and I have become more chatty

[Speaker 5] (1:08:51 - 1:08:52)

Abhishek I have seen love

[Speaker 2] (1:08:54 - 1:09:16)

I always say I am in the business of making people happy so I have become happier same I think largely to a great extent but more of also sometimes you also want to consume something on your own personal space as well like just in the unwind moment that is also something which is very interesting but very specific then

[Speaker 5] (1:09:16 - 1:09:39)

so we established that the hard liquor market is 40 billion beer is 12 billion so we have some data that says that correct me when I am wrong UB has 25% market share followed by NBR together country liquor has 20%

[Speaker 1] (1:09:39 - 1:09:53)

no actually if you see 400 million in terms of value terms value terms yes 400 million is the hard liquor so 400 million cases country liquor would be

[Speaker 4] (1:09:53 - 1:09:56)

again a 300 million cases market

[Speaker 5] (1:09:56 - 1:09:57)

but maybe not

[Speaker 4] (1:09:57 - 1:10:00)

in numbers 51% is country liquor

[Speaker 5] (1:10:00 - 1:10:02)

so value would be very less

[Speaker 4] (1:10:02 - 1:10:09)

51% won't it be country liquor no much less 20% your data is correct

[Speaker 1] (1:10:09 - 1:10:12)

much less because the value is very less value is low

[Speaker 5] (1:10:14 - 1:10:22)

followed by Diageo at 17 Anheuser Busch Bernard Accord Radico Kehtan 3%

[Speaker 1] (1:10:22 - 1:10:26)

no we of the market size we are about 10%

[Speaker 5] (1:10:26 - 1:11:18)

so what did these brands do correctly which somebody can use to emulate, somebody can build around if you had to talk about underlying trends in the brewing space what is changing today that I should focus on imagine I am a 25 year old who has managed to raise 10 crore rupees and I want to start a liquor brand should I do tequila should I try and figure out what UB is doing correctly I had an interesting conversation with an ex-executive at UB who said that off late they have been trying to push Heineken instead of KF and it's a strategy that has not worked and they are falling back on selling KF again

[Speaker 2] (1:11:18 - 1:11:23)

something on those lines Heineken silver was their moat

[Speaker 1] (1:11:23 - 1:11:29)

same thing which happened if you see the cola wars which happened with thumbs up and coke so what do I do

[Speaker 5] (1:11:29 - 1:11:37)

I have 10 crore rupees that I have raised a venture capital fund has given me the money I want to start a liquor brand what should I start

[Speaker 4] (1:11:39 - 1:12:48)

so I deal with these young people on a daily basis who want to start a liquor brand when you talk about numbers and market share most of these kids do not know their numbers and they don't

want to go into building a tequila or building a gin because they want to capture market share they want to create a product the first thing that they want to create is they want to create a differentiated product which is the first thing that they come up with saying that oh my gin has hemmed seeds in it that's why I am different or my tequila has this certain type of agave that I am importing that's why I am different they don't go in with the mentality saying that oh I want to capture 50% market share of the gin category in the country number one number two they feel that the Indian brands or the international brands which are there they can do a better job in packaging positioning marketing compared to these bigger players thirdly they feel it has become much easier compared to what it was before that okay I know a friend who knows a co-packer all I have to go and do is create a recipe I don't want to be a manufacturer I want to be a brand owner and I want to be a distributor versus going to the entire capex model

[Speaker 5] (1:12:48 - 1:12:55)

can you manufacture brew on your own with 10 crore rupee capital that I have raised

[Speaker 4] (1:12:55 - 1:13:04)

you can set up a distillery but most of your money will go into the distillery distillery is too less

[Speaker 2] (1:13:04 - 1:13:24)

a brewery I think you can answer better I raised my first round was 8 crores and we spent almost 6 in capex because we really wanted the best equipment to brew that was the whole journey that came to the point that you know we have done everything that we could and then you only needed the money so with 6 crore rupees in equipment you can start

[Speaker 5] (1:13:24 - 1:13:26)

an independent beer company in India

[Speaker 2] (1:13:26 - 1:13:51)

but the journey to the 6 crore is not see the money is the least important thing in this whole matrix I think one of the most important things is once you what you are trying to do has to fully resonate with you like how Meenakshi has been running her bar for day in day out for years and you keep getting better at what you do by being at it

[Speaker 5] (1:13:51 - 1:14:08)

what if I don't know what resonates with me I want to find from the lens of capitalism the low hanging fruit of today I am ok with going to a copacker I don't have to manufacture I don't have to spend money on that what brand and what price point

[Speaker 3] (1:14:08 - 1:14:14)

what category the question is category and I would say the highest category is whisky

[Speaker 4] (1:14:14 - 1:14:16)

but then you have aging and stuff like that

[Speaker 3] (1:14:16 - 1:14:25)

whisky would be your most profitable category and by far is the one that actually has stood the test of time as well

[Speaker 4] (1:14:25 - 1:15:04)

I have seen people set up with 30-50 lakh rupees how their money is spent maybe 10% is spent on trading the brand the balance goes into actually paying listing fees in every state from Goa then they go to either Delhi or Gurgaon and I am talking about gin as a category because that's a space I know in Delhi you have to pay per brand which will be about 12 lakh rupees for vodka and gin that's where most of the money is going initially go to market 30-50 lakh rupees people can start off their brand initially through a co-backer

[Speaker 3] (1:15:04 - 1:15:07)

see but the journey is really long to answer your question

[Speaker 4] (1:15:07 - 1:15:08)

if you see the liquor industry

[Speaker 3] (1:15:08 - 1:15:12)

you have to have 6 CR every year so we are not talking about

[Speaker 1] (1:15:13 - 1:15:14)

capex

[Speaker 3] (1:15:15 - 1:15:18)

you can be very frugal also

[Speaker 1] (1:15:18 - 1:16:15)

what about in our industry if you want to go all India you have to have 35 bottling units then it's a dark environment so it depends on the category so with such a small amount you can only make a mark if you go into a niche category which I am fine doing which only you get into a niche

category there also you have to the most important is you have to have the patience because what I feel to get the first 10,000 consumer is the toughest that is the biggest journey which I have seen in all my brands because once that 10,000 are loyalist consumers they will make 50,000 consumer then millions comes that's happened with each of my brands it goes slow but then it just takes off so the minute you push your brand and the most important in our industry is the payment the minute you push your primaries and you don't look at your secondaries and tertiaries the brand is finished

[Speaker 5] (1:16:15 - 1:16:16)

what is primary, secondary, tertiary

[Speaker 1] (1:16:16 - 1:16:30)

primary is suppose if I give to a distributor then secondary is when it goes to the retail the most important is the tertiary is the retail offtake any retailer will take your material but till the time it does not go out he won't give you a payment

[Speaker 3] (1:16:30 - 1:16:32)

you are not making any money till the end

[Speaker 1] (1:16:32 - 1:16:48)

and the biggest problem is distributors don't pay you in our industry what Meenakshi is rightly saying I echo what she is saying with a 6 crore it's like if you click it, you are a god but you should have that capital of at least 50 crores etc

[Speaker 5] (1:16:49 - 1:16:50)

but he did it with 10 fantastic

[Speaker 1] (1:16:52 - 1:17:01)

so I have one hack I am talking about alcohol beer is a different category I am open to beer, wine, tequila, gin

[Speaker 4] (1:17:01 - 1:17:23)

anything so I have looked at even Arlan's story they didn't start off first they were going to copackers and no copacker wanted to bottle their product if you go to copack and tell them if I come to you and tell you I want to build 750 cases in a year they will say that's too less for me so that's the main thing you have to start small which copacker should I go to?

[Speaker 2] (1:17:24 - 1:18:13)

any names, recommendations, people who have repute so I think copackers there are many you should probably choose a market where the resistance the friction to get your product to the consumer is the least so don't go to markets where there is very high regulation Goa we were an entire ecosystem please come to Goa Goa has great copackers? Goa has great copackers also extremely so there are 2-3 types of markets that happen in India Goa is considered an open market like Maharashtra where you have a distributor, it almost operates very similar to say any other business you have the freedom to do if you are in Karnataka you have to sell to the government so you have much higher control I don't want to get into the complexity

[Speaker 1] (1:18:13 - 1:18:14)

of different states because I think

[Speaker 2] (1:18:14 - 1:18:15)

there are too many rules

[Speaker 4] (1:18:15 - 1:18:31)

are you talking about liquor or beer? anything in Goa getting a copacker is easier name a copacker, somebody greater than you know there are bunch greater than is a copacker?

[Speaker 2] (1:18:32 - 1:18:34)

it is being made at one of the factories

[Speaker 4] (1:18:36 - 1:19:04)

also model is that you go to copacker and if the copacker doesn't have the still that you want to use in order to make your product since the copacker has all the licenses which is actually the majority of the cost biggest work the biggest headache of your fire, your chemical you have multiple licenses initially if you want to raise money to build your own distillery that's where your money will go when you import a still, give it to your copacker and tell him to use this still to make your product

[Speaker 3] (1:19:04 - 1:19:07)

and then get a good distiller so when you say bottler

[Speaker 4] (1:19:07 - 1:19:08)

do you mean copacker?

[Speaker 5] (1:19:09 - 1:19:58)

same thing, can I find a copacker for whisky? yeah you can any spirit so then I don't need that much money if I am using a copacker in making whisky, this recipe how do I go about getting it? I remember Kiran had this license in beer, brewing whatever, she studied microbiology she spoke about how the recipe is such an important ingredient I don't know anything about liquor I have raised 10 crores from a venture capital fund I have a broad plan in mind I go to a copacker, blue ocean somebody equally relevant we'll put out names at the end of this podcast with some research, we'll take it from you who are good copackers second step, recipe how do I find a recipe?

[Speaker 3] (1:19:59 - 1:20:17)

most people get a consultant on board you either get a distiller I am just giving you an example because we know these guys Greater Than and Hapusha was made by somebody who was making gin they came back from Bombay Sapphire, so the legacy is big what's their name?

[Speaker 4] (1:20:17 - 1:20:31)

I wouldn't know their name I know the lady, I have met her we'll put this stuff out either you get a consultant on board who will take you through this entire process or you get a master distiller how do you find a consultant who will take you through the process?

[Speaker 3] (1:20:31 - 1:20:32)

difficult to find in India

[Speaker 4] (1:20:32 - 1:20:39)

it's not difficult to find a consultant but the consultant will also help you get a master distiller

[Speaker 3] (1:20:39 - 1:21:09)

another example, Terai they went to Proof & Co Proof & Co is a globally international well known company that consults brands to create brands Proof & Co, Terai had used it and when they came to India they were already existing as a bottling unit mostly out of Manisa and then they actually created Terai Gin with Proof & Co proper guidance through the entire recipe creating the entire story how do I meet these people?

[Speaker 5] (1:21:09 - 1:21:38)

how do I have this dialogue? we want a particular outcome at the end of this conversation we want a road map wherein so many young people at least a couple of them raise 10 crores build liquor companies hopefully one day become as successful as Radico Indian alcohol finds its place in the global ecosystem because young people coming in will experiment, do different things it will improve the alcohol

[Speaker 4] (1:21:38 - 1:21:48)

quality of alcohol best way, even when I was building my non-alcoholic beverage band you have to pick up the phone call up people from the industry there are many trade shows

[Speaker 3] (1:21:48 - 1:22:38)

Berlin Bar Convention in India there is Brews and Spirits that happens in Bangalore multiple places have now this is the thing India has very few trade only conventions when it comes to liquor like Ahar is a huge thing but mostly focused on food and FMCG food but alcohol has very few of these where you actually meet people who are creating stuff like the bottler is standing there trying to sell and say that come to me and make the brand with me I will give you the best price so you have to put yourself out there definitely travel there are many trade shows that happen and we can give you again names for that and of course the biggest of the shows are the BCBs and the London Cocktail Weeks of the world which bring a lot of people together and you will have distillers, bottlers creators, blenders and investors in one room

[Speaker 4] (1:22:38 - 1:22:42)

but that again is not India centric India is very few

[Speaker 3] (1:22:42 - 1:22:44)

I mean I don't know how many

[Speaker 1] (1:22:44 - 1:23:09)

I think let's break it into two three parts number one to create an alcohol brand what does it take it takes a great blend which is the most important it takes packaging, innovation and thirdly the space you want to be so any guy who is starting has to be passionate like her thing if she started Sidecar she was passionate helps to win the top Asia bar

[Speaker 5] (1:23:09 - 1:23:13)

and top world bar is not a joke we made the assumption that there are passionate people

[Speaker 1] (1:23:13 - 1:23:20)

so then they should know which segment where is the global industry does it work for the Indian palette or not

[Speaker 5] (1:23:20 - 1:23:24)

so even if these shows are happening abroad somebody from here can go there and attend

[Speaker 1] (1:23:24 - 1:23:25)

you can buy tickets

[Speaker 3] (1:23:25 - 1:23:29)

you can travel to many many shows

[Speaker 1] (1:23:29 - 1:23:55)

with HR you can get a lot of blenders who have worked for blenders with HR like HR firms who are past Diageo, past Porno, past XYZ there are a lot of consultants retired people who have created successful brands so you can get people there second is to identify the right product I think that is where the art of the youngsters will come in has been started by younger generation

[Speaker 5] (1:23:55 - 1:24:04)

this is my next question so now that you figured out a bottler who is also a co-packer you figured out I'll leave the recipe

[Speaker 2] (1:24:05 - 1:24:30)

you call it formula so I think you simply if you want to start for somebody who is just starting now I think one of the simplest things one should do is first go to the super spend a lot of time in supermarket just keep observing the shelf do nothing just let people come shop at the supermarket see what's moving on the counter observe talk to consumers just be in that zone

[Speaker 1] (1:24:30 - 1:24:32)

go to the bar

[Speaker 2] (1:24:32 - 1:24:35)

sit at the bar keep seeing what's happening

[Speaker 1] (1:24:35 - 1:24:35)

give it time

[Speaker 2] (1:24:36 - 1:25:16)

then you will come with the inspiration you know that it is differentiated it's not coming from some knowledge of somebody else western knowledge never works in India like every pin code in India I say we have a culture code it changes it's phenomenally bizarre so you have to be very sure about what you are inspired by and you have understood a sense of the market by being there looking and feeling it yourself that's the first step then you are inspired then all the other things so

if you are a brewer you simply it's the most collaborative open we have so many home brewers there are brewing conventions that happen

[Speaker 3] (1:25:16 - 1:25:18)

so new people can join these conventions

[Speaker 2] (1:25:18 - 1:26:01)

we have an east library we always offer east trains to people we give small mould batches to people who want to go and try you don't need more than 5000 rupees to create a small home brewing kit at home experiment be on the kitchen give it that time once you know the product whatever you are trying to make there is so much learning available online then you know which consultant to go to or then when you go to these fairs you are a lot more better prepared so I think do that homework this industry requires you to put your head down and work hard it's a slow moving industry it's the nature of the business where you have to put that time to figure out the product first don't keep it for later because that's something that you will have to you will put all your energy behind

[Speaker 5] (1:26:01 - 1:26:43)

so because you guys are experts in this where do you think I'll come to each one of you individually where is the opportunity today I'll ask you in terms of Suresh can tell me this kind of beer made with this kind of ingredient at x price point with maybe y storing maybe you can tell me tequila made from whatever agave extra being sold at 5000 rupees how to make that happen you can tell me based on what you are seeing in your bar as something where the demand is growing exponentially and Abhishek can tell me who can build a competitive product to what is selling best at Radico

[Speaker 4] (1:26:44 - 1:26:54)

in the least tumultuous way as possible but is the goal of this question to become a billion dollar business or is it to build something that you are passionate about

[Speaker 5] (1:26:54 - 1:27:10)

something that is profitable in nature it doesn't have to have the scale of a billion dollars anyways okay got it so we start with take a second to think about it who would like to go first idea price point product

[Speaker 2] (1:27:10 - 1:28:09)

category so I think one of the best opportunities right now is if you think about large multinationals the value which is available in the Indian beer market I'll only speak about beer right now lies in

the category where the Indian consumer slowly upgraded from the king fishers of the world now to a Budweiser or Hennecat they've already come to a 20-25% this is currently roughly around a 55-60 million case industry that's the price point where you actually make money proportionate to the investment and everything so it delivers better margin if you now can take this consumers who are already here so the consumer psychology is that the consumer wants something better take it to a destination product there may be multiple destinations you can upgrade a consumer who is seeking quality is always a great starting point I think look at price elasticity don't go to 100% markup on a existing large category, category building is absolutely not possible in beer

[Speaker 5] (1:28:09 - 1:28:18)

so what you are saying is take the premiumised consumer who has moved from KF to Heineken who is willing to pay couple of hundred

[Speaker 2] (1:28:18 - 1:28:35)

and that consumer is going to be far more willing because he is seeking or she is seeking this product quality as a driver and they will be more than willing to come and upgrade so there is a constant journey that's accumulated to a large enough pool now.

[Speaker 5] (1:28:35 - 1:28:36)

Meenakshi?

[Speaker 3] (1:28:37 - 1:29:06)

I know what I am going to say it has to be bourbon whiskey coming from 2-3 things that I really believe in. India I mean and again coming from the fact that we are talking cocktail consuming cocktail the way consumption is growing it is one of the biggest drivers of the way consumption is happening in India again urban centres more so than rural but then again tier 2 as well there are many many cases in great restaurants and bars opening in tier 2 as well and you can see that the major driver of consumption is through cocktails.

[Speaker 5] (1:29:07 - 1:29:10)

Why bourbon whiskey specifically for cocktails?

[Speaker 3] (1:29:10 - 1:29:55)

I am coming to that is because cocktails were actually created in America. They were American invention and then and hence because bourbon whiskey is a whiskey that was created in America has not been tapped into as such as a base spirit in India as much as it can we have Jim Beam which is now being made in India which is completely sweeping through the cocktail market every bar that you go to right now is actually pouring Jim Beam in their old fashioned

whisky sars all of the mint juleps of the world right and what it is doing is that it doesn't have an Indian alternative so even if I want to use the best of Indian whiskeys most of them actually emulate scotch because that is our way of kind of taking the scotch whiskey production process forward

[Speaker 5] (1:29:55 - 1:29:58)

What is the difference between bourbon and scotch?

[Speaker 3] (1:29:58 - 1:31:16)

So scotch biggest difference is of course Scottish and American but other than that there is a big production difference Taste wise also there is a difference so it is sweeter so bourbon whiskey is much sweeter than scotch whiskey primarily because 51% of corn is used to make a bourbon whiskey so hence it is sweeter in taste when you actually do a comparative also the way it is finished it is actually finished and there is a little bit of a char of the bourbon, the cask in which it is made, it is actually made in new oak casks so the cask itself has a little bit of that woody, churny burny flavor which works really well for Indian palate and we feel very very strongly that so far many have tried actually, Beam Global has launched a whiskey which they are saying is very much like a bourbon whiskey it's not to say that the big guys are already nodding it but I feel an Indian, true Indian person, like Indian brand has not really ventured there because A, whiskey is intimidating A, it's given that you don't have money issues, like if we say that we don't have a CapEx issue and we don't have an aging issue, I mean I am assuming all of these things are in place, the investment is in place.

Does it have to be aged? Is Jim Beam aged? Yes, minimum 2 years, that's what bourbon's claim is you in India given that, minimum 3 years but also, being a hotter climate India is again hot, it is as hot as the bourbon, but bourbon

[Speaker 1] (1:31:16 - 1:31:18)

does it have the GI tag, like scotch has a GI tag

[Speaker 3] (1:31:18 - 1:31:26)

we don't have to call it bourbon whiskey we have to call it, we don't want to call an Indian whiskey bourbon whiskey that defeats the purpose of it

[Speaker 1] (1:31:26 - 1:31:34)

you are talking that it will be a change in the blend, it's a flavor like a bourbon, like in Rampur we are using bourbon cask, we are using

[Speaker 3] (1:31:34 - 1:32:25)

ex bourbon cask will be much more refined version of making the same thing but we are talking about sweetener, corn we are talking about getting into the entire production of it, we are not just finishing the whiskey with it and I feel of course pricing has to be pouring which basically means it has to be valuable to me as a bar owner so anything between 1200 to 1400 not above that and approachable to young interesting people or getting into the category, you know fresh so what is happening to the younger ones are that back in the day I think we all got into alcohol with Old Monk I hate saying the back in the day word actually but most of us have actually started with Old Monk, 40 but what happens is that thank you, my skin, Delhi skin Delhi skin I do Delhi Bangalore you both are glowing as well

[Speaker 1] (1:32:25 - 1:32:27)

we will tell you later

[Speaker 3] (1:32:28 - 1:33:09)

coming back to the price point anything between 1200 to 1400 and entry level so I would fully say there has to be entry level a lot of the younger immediate after LDA, legal drinking age actually gets into this category so they are either drinking gin which is at a greater than price slash Bacardi price, I mean in that I am trying to think about the rum which is in that category so you know Makkazai the pouring category that we are talking about so whisky in that category still is owned and run by the MNCs that space is, because also it is very intimidating, it is hugely expensive you know the whole deal

[Speaker 1] (1:33:09 - 1:33:15)

we have just launched our Kohinoor reserve rum at that price point and matured in same

[Speaker 3] (1:33:15 - 1:33:22)

so we need to use the whisky to make cocktails, we are not talking to whisky consumer, I am not going to sell it to a

[Speaker 5] (1:33:22 - 1:33:36)

brand called Bangalore and I make a bourbon tasting whisky at 13-14 hundred bucks and come to Meenakshi and say try this, try Jim Beam, if mine tastes okay or better, you will take it

[Speaker 3] (1:33:36 - 1:34:12)

of course I will if you get the packaging see it's a great, you have to find the sweet spot in that mix so it's good story, good blend you cannot absolutely not just discount the recipe, the process, the whole art of it as well, because you cannot packaging is such a big part it is, it is huge like how you sell it, like what are you going to say about it if you say it's a bourbon like whisky I will be like

okay so basically you emulated a whisky which is made in US, but you have to have your own original story somewhere

[Speaker 4] (1:34:12 - 1:34:25)

Bangalore sounds like a nice one, bring it out of the hat you get a good attitude because Meenakshi is from that space right, for a product like this you will need the advocacy coming from the bartender to replace it in an old fashion

[Speaker 3] (1:34:26 - 1:35:16)

I need to be like fully and also hugely a lot of us which is a lot of us fully back Indian good Indian brands, right, so if you are making a good Indian brand which is maybe selling or not selling, I will fully list it give it that chance, after that if it sells or does not sell or people that is like the secondary tertiary sale conversation which can happen later but at least the entry point, you will have it better if you are an entry, also again as a founder right, as a co-founder, founder, if you are going out to them and talking to people you have to sound like 100% convinced and behind the brand like that's important right, that's the neat of it, so if you are not like I just need to make money, I will be like okay no no, I will fiend passion very quickly, when my Bangalore whisky is out if you call it Bangalore, I don't know how

[Speaker 2] (1:35:16 - 1:35:30)

also it's a great name Bureka vs VJ Hyperlocal is essentially what you can say that you, we so, or how about we call it like area, instead of even a city even more local, I will tell you what

[Speaker 4] (1:35:30 - 1:35:32)

like Bandra, if you can call it Jaisalmer

[Speaker 3] (1:35:32 - 1:35:35)

I will get that if you see Rampur

[Speaker 1] (1:35:35 - 1:35:50)

we have taken all the Indian names to the world and India like Rampur you are Jaisalmer, now we launched the first time any Indian company at a scotch price Royal Ranthambore, the brand has really taken off, it's one of the largest it's going to be one of the largest selling brand

[Speaker 3] (1:35:50 - 1:36:31)

we have a menu called Dear Delhi, which was actually made and which actually got us to this massive I think global recognition is because of that menu because the menu was made out of all the places and local spots that us as Delhi people know and it's not to say everything was named

after the tombs and the historical places, there was a drink called DU special, so people who actually know DU special are the only people who know like who know DU right, because that's the bus that actually goes around and it's called DU special and what's a good way to get word of mouth out I start a whisky called Bengaluru 1400 bucks, bourbon tasty meet your stakeholders so retailers, your bar owners your partners, you have to get

[Speaker 4] (1:36:31 - 1:36:35)

your partners on board, the bar community for this product is a very big

[Speaker 2] (1:36:35 - 1:37:14)

push, so there's a very interesting story, the founder of Pernod Rica, his name was Paul Rica and he used to say, he started in the southern town of Marseille where he made a product which was called Ricard in his name, so he had a philosophy which said make a friend a day so he would take his case of Rica go to one bar in Marseille everyday and offer a little sampler to every person who was sitting there and they would sip by the end of the year he was in 360 bars and every person was drinking pasties or the was saying, Paul is my friend and he makes this product, I'm drinking it and he took over, that business started as simply as that.

[Speaker 3] (1:37:14 - 1:37:38)

This is possible Indian equivalent to that spirit Indian equivalent to that sort of Indian spirit made by an Indian founder and went bar to bar definitely is greater than you guys like you have done the see you cannot discount You go to every bar, talk to the servers and expect it to fly Interesting Shuchir, would you like to go next?

[Speaker 4] (1:37:41 - 1:38:46)

Usually what ends up happening is that brands come to me and they're like, okay we have this product, we don't know what to do with it, please help us out is what I end up usually writing strategies for a lot of brands but personally I think two one is rum I believe strongly rum is a category, I think India has grown up on Old Monk and post Old Monk there's not been too much disruption in the rum market.

Globally you have Zakapa and such brands which are doing extremely well and all bartenders globally are working with rum. What was gin a few years back is now rum and tequila so I believe a great flavoured rum at a premium price at a semi-premium price point What is semi-premium? 1200 Same pricing Not an Old Monk which is cheaper 1200 onwards I believe in that Flavoured rum?

Flavoured as in you can have different expressions of it, you can have a spice rum I love

[Speaker 3] (1:38:46 - 1:38:47)

Captain Morgan

[Speaker 4] (1:38:47 - 1:39:00)

spice rum, Zakapa is one of my favourite rums but there are not too many options here recently there have been some brands coming out Makaza is there Sitara is there and now you're launching

[Speaker 3] (1:39:00 - 1:39:03)

There's Kamikara Kamikara

[Speaker 4] (1:39:03 - 1:39:09)

I've not tried Kamikara But I'm seeing rum as a So there's an interesting thing on rum

[Speaker 2] (1:39:10 - 1:39:37)

Rum as a category the consumer, so there is two things Whiskey has laddering in terms of price So a Whiskey consumer starts at say the imperial blue level and then goes to Royal Stag, Blenders, Sprat, 100 Pipers, Shivers as the person grows in life. The whole storytelling is about like you see all the campaigns are all, it's your life make it large Ab mein sab dal do, jo jeeta wahi Sikandar I don't know what all Thank God you're not a competitor

[Speaker 3] (1:39:38 - 1:39:40)

Thank God you didn't take a patent

[Speaker 2] (1:39:40 - 1:40:25)

Of course But in rum, rum sells a lot in the East, West Bengal you know, Orissa So rum has a is a product where the consumer doesn't even relate to this image So it's not for status seekers. So it's a very different psychological product category You know, you would find a great musician drink rum in Goa, in India It's almost equivalent to how Jack Daniels has a sub-cultural kind of a vibe throughout America. Rum does that It's very community driven Not too social So you can upgrade rum but you need to do it with a great product story.

I think you need to upgrade the consumer who's very different from a whiskey consumer.

[Speaker 5] (1:40:26 - 1:40:28)

What is Old Monk? It's rum It's rum.

[Speaker 2] (1:40:28 - 1:40:28)

Yeah.

[Speaker 5] (1:40:29 - 1:40:35)

I read some research around whoever attempted rum in India could not beat Old Monk. Is that true?

[Speaker 2] (1:40:36 - 1:40:44)

I think Celebration Rum which is of D.I. Joe's now outsells Old Monk quite a bit. Bacardi dropped their price so much to compete with Old Monk?

[Speaker 1] (1:40:44 - 1:41:06)

No but Bacardi is gold and white What's happened is you have to get up the price ladder Like say we had launched our 1965 rum So like Army Defence is one of the largest market. We have the highest priced rum They're selling higher than Old Monk The numbers. They're the largest selling rum So it depends on the pricing And product And premiumization.

[Speaker 4] (1:41:06 - 1:41:14)

Because there is a huge population in the country that drinks rum whose disposable income is going to keep increasing

[Speaker 3] (1:41:14 - 1:41:37)

I also feel that that's not a category play I don't think anybody is drinking rum for it I just think they're drinking it because it's a spirit which is super easily available It's like there is no It's never had like a gin has had a moment And whisky has had Brandy is 18-19% of the market

[Speaker 1] (1:41:37 - 1:42:53)

Rum is only 11% Brandy is 19% Why is that?

See I think brandy 98% of the brandy sells in south Why? You have to give us why You know I researched it because we have a Morpheus so that is the super premium brandy And we have 58% market share there Brandy what I realized is in south people are very religious So if you see Pondy and Kerala are two states plus Tamil Nadu So one is Pondy at the French connection and French are into brandy. Second if you see all the shops liquor shops in the south earlier like Kerala was called Doctors Each shop like the brandy was called Doctor's Brandy So people used to think that they'll drink because of health purpose, religious purpose Like in north India if you see when we were kids when it was very cold our mothers used to rub brandy on our hand.

So I think it's just some kind of that. Else south India it's like hot etc But the brandy market there is huge

[Speaker 4] (1:42:54 - 1:42:57)

Tamil Nadu 85% of the market is brandy

[Speaker 5] (1:42:57 - 1:42:58)

Yeah so the numbers

[Speaker 4] (1:42:58 - 1:43:10)

Tamil Nadu you have to distill in the state in order to sell it Tamil Nadu has a lot of issues You have to distill in the state to sell it over there The numbers we had was

[Speaker 5] (1:43:10 - 1:43:18)

the market is 63% whiskey, 22% brandy, 12% rum, 8%

[Speaker 1] (1:43:18 - 1:43:24)

vodka 4% is white spirit 4% vodka gin

[Speaker 3] (1:43:24 - 1:43:25)

It'll be all of 4

[Speaker 1] (1:43:26 - 1:43:32)

96% brown Is there a switch happening between brown spirit to white in India?

[Speaker 2] (1:43:32 - 1:43:32)

Yes.

[Speaker 1] (1:43:33 - 1:43:58)

Vodka has been the largest growing category in the last 5 years But it's still 2% or whatever Vodka and gin would be about 4% So vodka now would be about 3-3.5% Still it's smaller. It's a far cry from whiskey But imagine globally 25% is vodka But vodka and the white spirits See it's coming I feel it's a matter of It'll grow.

[Speaker 3] (1:43:58 - 1:44:18)

It has to grow It'll eat into the whiskey market I'm banking on that Smirnoff 100 years ago was marketed as white whiskey And that's how The campaign was it leaves you breathless You can drink and drive with it because it leaves you breathless In vodka, 80% of the market now has become flavoured vodka Yeah.

[Speaker 1] (1:44:18 - 1:44:30)

And that's I've launched about 9 flavours I've had a green apple vodka and it's very tasty Cranberry has taken off like crazy When we did research, everybody kept reiterating flavour, flavour, flavour.

[Speaker 5] (1:44:30 - 1:44:39)

In beer, in vodka in gin, in rum, in brandy in whiskey, in everything Why is that switch to flavour happening?

[Speaker 1] (1:44:39 - 1:45:19)

Would you want to have like a flavoured whiskey tomorrow? I'll tell you. Say let's take the white spirits.

Mostly it's prevalent in white spirits, not in the whiskey Whiskey you only have fire and honey and all those but that is too small In vodka if you see who are your consumers? It's the younger generation and women Now when you see when a youngster is getting into the drinking age bracket Alcohol by choice is bitter A Pepsi or a Coke would taste much better So they need a sweetish flavour So they tend to get for the flavoured whiskey And then it's easier to drink.

[Speaker 2] (1:45:19 - 1:45:56)

Like the flavour just add water There's also another nuance to this It does not smell It's like a daytime blinking Exactly. The Indian vodka consumer, one of the craziest, you would assume that's one of when they came to India in 2007 and they were just doing parties and they realised it's not taking off. But vodka in terms of percentage of you know market share to other spirits probably highest in the most conservative state like Kashmir, Rajasthan And then you look at it, you realise the nuance where it's being drunk a lot by shopkeepers and people who are working during the day who have a taboo

[Speaker 4] (1:45:56 - 1:45:57)

to mask their smell

[Speaker 2] (1:45:57 - 1:46:06)

So you know you would find that it's like some Fanta bottle lying in that saree shop and somebody is sipping on it through the day and she's probably drinking some

[Speaker 4] (1:46:08 - 1:46:13)

flavoured product So the cool kids moved to gin because there was a

[Speaker 5] (1:46:14 - 1:46:18)

botanical thing in it And the masses moved to flavours What is the botanical play?

[Speaker 4] (1:46:18 - 1:46:34)

What does that mean? See that is the herbs. The infusions Like how Like I said, gin is nothing but vodka with flavour.

But the flavours were stuff like you have to have juniper then you have cinnamon, cardamom, blackmeg Juniper is the prime herb for any gin.

[Speaker 3] (1:46:34 - 1:46:35)

But then you have add-ons.

[Speaker 1] (1:46:36 - 1:46:41)

Like you can have a gin of 11 botanicals, 18 botanicals 47 botanicals Right?

[Speaker 4] (1:46:43 - 1:46:50)

You won't have a green apple gin. You'll have a green apple vodka which has a bigger market size Why fruit, vodka, flower, gin? Why?

[Speaker 5] (1:46:51 - 1:46:55)

Why is the flavour that you choose to add to vodka a fruit

[Speaker 1] (1:46:55 - 1:47:09)

It can be anything Cinnamon It can be coffee also But the most popular, like we started the flavour trend in India So green apple is the most famous Then is orange and then is cranberry

[Speaker 4] (1:47:09 - 1:47:11)

But it has to be a massier flavour

[Speaker 1] (1:47:11 - 1:47:13)

Green apple is the

[Speaker 4] (1:47:13 - 1:47:22)

You can't have a nutmeg You can't have a nutmeg vodka but you'll have a nutmeg infused gin Like he's talking about matcha beer.

[Speaker 2] (1:47:23 - 1:47:43)

That's as nuanced as nuance gets But that'll be part of his 25% share So it's a part of like a portfolio where you also have a small consumer. So there's this whole consumer who also relates to almost like everything that's very high quality and that consumer is on a completely different journey

[Speaker 4] (1:47:43 - 1:47:51)

You can have a cafe rum which will be very this thing But for me, for his brand, these drops build loyalty to the brand

[Speaker 2] (1:47:51 - 1:47:52)

To the core consumer

[Speaker 4] (1:47:52 - 1:48:03)

Oh, this guy's actually played around with matcha I must drink his other products I might not be a regular consumer of the matcha product but now in my head his positioning, my positioning has become

[Speaker 2] (1:48:03 - 1:48:11)

So we have zero marketing cost because we keep doing products and every product creates a little bit of its own buzz and market It's like your product mix.

[Speaker 3] (1:48:11 - 1:48:27)

So you want to have like your bass playing, you're playing at that level and then you put one Kohinoor diamond in the middle and the Kohinoor diamond gets you the eyeballs and that and your actual base level brand will actually benefit from it because the main brand might or might not sell

[Speaker 2] (1:48:27 - 1:48:28)

That might not actually change

[Speaker 3] (1:48:28 - 1:48:30)

Attention spans are becoming smaller

[Speaker 4] (1:48:30 - 1:48:41)

Juniper bombs, cricket bats They aged a gin with used cricket bats which they sourced from all over the country Yeah, yeah You said go after

[Speaker 5] (1:48:41 - 1:48:53)

the premiumised audience which has upgraded from KF to a Heineken and hit them at that price point You said build something which is India's bourbon

[Speaker 3] (1:48:53 - 1:48:55)

Answer to bourbon

[Speaker 5] (1:48:55 - 1:49:16)

At 1200 to 1400 rupees a bottle. I said Bangalore You said the story the design, the packaging will have a big part to play and a good go to market strategy is physically stepping out meeting bar owners, consumers converting them one on one and hoping for word of mouth You said brandy.

[Speaker 4] (1:49:16 - 1:49:59)

I said rum rum, rum, rum Antonics and RTDs ready to drink beverages that's about 5 to 7 years from now but I see that picking up. Why though? I think space is going to be a constrain people will not have too many bars they won't have space in their houses and they won't have space to build a bar, they will not have the energy to buy a mixer, have ice order They would want the way they have a beer, they'll be ready to drink beverages which will be there in their fridge, they'll just come back from work, they'll either have an option of a great beer or something which is pre-mixed, open it, drink it and go to In Chitra you also said price point same as hers?

That the premium to an old monk, the first stepping stone from an old monk at that price point. Your turn.

[Speaker 5] (1:50:01 - 1:50:07)

They all suggested what should be built, which category, price point, what kind of alcohol for somebody new starting to build.

[Speaker 1] (1:50:07 - 1:50:19)

So if it is a matter of selling, you should create something innovative, there are a lot of opportunities which I just I won't go on specific because we are going to get into that. What are you getting into next?

[Speaker 5] (1:50:19 - 1:50:21)

I'll tell you but Same question in a different way.

[Speaker 1] (1:50:21 - 1:51:20)

He's not telling us. Right now a friend told about Rica, what is it? It is French origin, there is a lot

of heritage, there is a lot of strength on the Indianness, we have to see what India 100 years back offered, we have to get into the roots of India, we have to see You told me this already at your house.

So I've been working for four years on that, we have to get something no one has seen. Like if you see all my brand history starting from Rampur, Royal Rantanpur, Jaisalmer, everything is Indian. So here also the Indian ethnic things, there is so much of scope even for India and that you can price it higher.

So the minute you price it higher, your margins are there. For any newcomer, you have to, your gross profit has to be high. It has to be 70 to 80% else you'll fail.

If you try to compete with the masses, big boys will take you.

[Speaker 2] (1:51:20 - 1:51:22)

So the category creation margin.

[Speaker 1] (1:51:23 - 1:52:26)

You cannot compete with them on their muscle power. I have competed, I competed, but that was a different story. But for a young entrepreneur, your innovation and price point and the margins has to be attractive.

Second would be don't don't dump. Just look at the tertiaries. So one is I will say ethnic flavors, rum, I agree with her, which we are also venturing into a $50 rum Kohinoor reserve.

First time it is a small batch distillation, it's made out of cane juice from North India only in the winter season, then matured in American bourbon cast, then cognac XO cast, then vermo. So it took us four years to create that. So it's a different innovation.

So I think rum, there is scope, plus I think the ethnic, the Indian story that too many liquors, which was here, which can take the world and India, but the price point should be high. So the margins are there.

[Speaker 2] (1:52:26 - 1:52:51)

Makes sense. So the heritage liqueur part has another nuance to it, which if you can even look at say Mahua being done by certain tribal communities, you travel to the Northeast, you have a lot of wild rice ferment still being done in Manipur with indigenous varieties, very similar to what the Koreans do with Maggoli and with the similar to the Nigori sake.

[Speaker 4] (1:52:51 - 1:52:51)

There's too many.

[Speaker 2] (1:52:51 - 1:53:08)

So there's so much to do, but you have to be a little bit of like, you know, research and find a lot of, there is also a lot of ingredients which are very unique to India. And that's your very strong mode. If you can find the indigenous varieties and then do a product.

You're saying in a way go local, local, local, local.

[Speaker 1] (1:53:09 - 1:53:25)

Think global, act local. Like what he earlier said, like for me, 28 states are 28 different countries. If you go to a Kerala, your marketing strategy has to be different.

Karnataka, it has to be different. Punjab, it has to be different. You have to go on the regional festivals.

[Speaker 5] (1:53:25 - 1:53:27)

And don't make a plan for 30 countries, conquer one at a time.

[Speaker 4] (1:53:27 - 1:53:39)

Just one. And work with smaller, like even if you're working with the bar community, work with lesser amount of bars, work with the best bars, but work with them very closely versus just going and distributing to all the bars in the city.

[Speaker 1] (1:53:39 - 1:53:42)

So it depends on which category you play and what product.

[Speaker 4] (1:53:42 - 1:53:44)

The manpower has to be very, very important.

[Speaker 1] (1:53:44 - 1:54:14)

When we talk about, we have to ask the people who know liquor, because money is becoming We are like poles apart the way we think. But I think in her industry, bar I think is one of the most virgin opportunities in India. We have not started.

If someone can click it, like if you see Namos, what their revenue and etc is, it's unreal. They would make it 250 crores. 250 crores profit only in Dubai.

[Speaker 3] (1:54:14 - 1:54:15)

Wow.

[Speaker 1] (1:54:15 - 1:54:26)

Namos, the Zumas, I think India has just started. If someone can create a name where you can go, I think there's a huge opportunity that people are ready to pay money.

[Speaker 5] (1:55:08 - 1:55:28)

One thing after we have decided what to build, the next logical question is distribution. She spoke about going to bars and selling by giving them taster, talking to them individually, what are the ideas for a young person starting off in distribution?

[Speaker 1] (1:55:29 - 1:56:30)

How does one get it? Did I go? Yeah.

See, like I'll talk from the global context and then I'll come to the Indian context. Like globally, I wanted to make like what we have done in Rampur, Jaisalmer. So we export to 100 countries.

Now, it's always better to see and never reinvent the wheel. So we've been country partners with E&J Gallo. They have been the largest wineries in California and the world.

And what I saw about the distribution model, that they are the best distributors around the globe. Even if they have to pay extra, but they have the distribution guys who are passionate. So globally, we also followed the same philosophy where we had distributors.

So we didn't have to invest in manpower in a country and get to the nuances. Maybe you pay extra, but you have the right guy who can sell for you. So that was a good and an easier model.

[Speaker 5] (1:56:30 - 1:56:33)

But can you do that only at scale or even if you're really small?

[Speaker 1] (1:56:34 - 1:57:41)

No, when you're small, it's very hard to get a distributor. I started with zero like in Rampur, but like the guy, suppose my US distributor, he left a job with one of the largest companies in America, distribution company, and wanted to take India to the world. So started with negligible volume.

Now he's like minting money. And in last seven years, what he's done is fantastic. Same thing in Ghana, same thing in Nigeria.

So a lot of places we have done that, Singapore, a lot of places. So India, I feel distribution is the most expensive. So depending on the state, if you get the right distribution partner, you get the right social and you address the, in a state, suppose if you are there, you address the 10 trendiest bar.

So the minute you are there, other bars will copy you. They'll say that if you give like if you have an entry to one on-premise, like a sidecar in Delhi. If anyone knows that okay, if in sidecar your brand is there, it is accepted automatically.

So I think you have to catch the overall there.

[Speaker 5] (1:57:42 - 1:57:45)

Do liquor brands give you freebies to display their alcohol?

[Speaker 3] (1:57:46 - 1:58:43)

Yeah, absolutely. I mean, they give you not just for display, they give you for activation, they give you for, they are actually very, very important partners for you. So like we are part of the same ecosystem, right?

If I don't buy their brand and sell it further, then nobody's benefiting from it. So I have to work together like almost like a partnership. They do end up taking shelf space, share of throat, which basically means that how much are you pouring, which are the, which are, say for example, I have a menu of 20 cocktails, out of which if I'm getting a majority of say a tie up money, it's called a tie up money, which basically means if I'm working with a Diageo or a Pernod or a Bacardi or even a Radico, I will be then prioritizing their brand over other brands to actually make cocktails with, which basically immediately turns into volumes for them. But it also gives them visibility.

It also gives them activation points, touch points, consumer feedback, a lot of things happen. So it's a tool. So menu is a tool for you.

[Speaker 5] (1:58:43 - 1:58:54)

So if I start my Bengaluru bourbon company and sell it for 1400 bucks and come to you, would you put me on your shelf? Because you already have a deal with your partners?

[Speaker 3] (1:58:54 - 1:59:10)

I will put you on the shelf. I will not immediately start pouring your brand. Pouring and putting it on shelf are two different things.

I have almost to the tune of 350 listed, available, visible brands in the menu.

[Speaker 5] (1:59:10 - 1:59:13)

So let's say for example, you're selling a Diageo brand, what do they give you exactly?

[Speaker 3] (1:59:14 - 2:00:11)

So they give me multiple seats, they support me for New Year's and say Christmas activation, they support me for, so next month we are supporting an entire month of Pride month at the bar. So we celebrate it every year. For that I need to make a special menu.

With that menu I need to make special drinks, which are actually talking to the audience that I want at the bar. I'm also doing like an event which is a talking conversation, sort of sit down, which we do every year. Then we end it with a big party, with a big band.

I need money for all of these things. If I bring like a band, band takes money. If I bring a photographer, photographer will take money.

So I'm taking money for this A brand, I'm not mentioning whichever brand it is. Then I take money from them and then for full month, I'm actually giving them the menu exclusivity for that special month. So you kind of, it works really well for your beverage cost point of view.

So you actually can make money by selling the brands and then the brands are also happy because they're getting multiple visibility points.

[Speaker 5] (2:00:12 - 2:00:56)

Are you demographically seeing any changes in liquor consumption? Traditionally, men have been the one to buy and consume liquor. I don't know about consumption, because buying number is there.

Are you seeing more women consume alcohol? Is the age at which somebody first consumes changing? There is research to show that Gen Z in America is consuming lesser alcohol than millennials.

This problem is so stark in countries like Japan where young people are not drinking that the Japanese government is starting sake festivals, different ways to encourage young people to drink. Same problem in India?

[Speaker 2] (2:00:57 - 2:00:57)

Not at all, I think.

[Speaker 3] (2:00:58 - 2:01:10)

Women are definitely drinking more, there is no doubt about that. Like that is a big plus for us for the growth also. So because the fact that there are many, many women joining into the drinking occasions multiple times.

[Speaker 4] (2:01:10 - 2:01:12)

The market is growing because of the women also.

[Speaker 3] (2:01:12 - 2:01:31)

So women and also LDA plus, so we're talking always whenever we talk about legal drinking age and plus, they are also drinking better places, better quality, premiumization, all of those things, right? So that is definitely happening and they are actually adding a huge, huge value to the entire nightlife.

[Speaker 4] (2:01:31 - 2:01:38)

And also I think the shopping experience overall, especially in Delhi, Bombay retail, Gurgaon.

[Speaker 1] (2:01:38 - 2:02:18)

That is one of the, what he said is one of the most important we've been advocating as Radico and as the liquor industry. That earlier, if you would have gone into any shop in Haryana, Mumbai, women can't go and shop. They'll be looked down like, you know, they'll not feel safe.

But today, if you see the shopping experience, whether it's Bangalore, whether it is Gurgaon, you have 20,000 square feet, it's become very nice. So women are comfortable to go and pick up their bottle. Second, even when you go for a party, earlier, like, you know, they used to hide their glass.

But today it's like normal for the new generation. In fact, the women not drinking, whether it will feel that, why is she not having?

[Speaker 5] (2:02:21 - 2:02:28)

Premiumization, before we get into that subject properly, because it seems to be working across the category, any other distribution hacks?

[Speaker 2] (2:02:28 - 2:03:33)

I think one I wanted to mention, which I think if you are an absolute zero to one person starting out, I would say once you identified what product you are doing, just take a few bottles. And there are three layers to distribution. What you manufacture is called as the primary.

Then you, what your distributor supplies to the market to say Meenakshi's bar is called secondary. And what Meenakshi sells from her bar is called tertiary. I would suggest first thing that you do once you have the product, go ulta.

Don't go the route that the big companies do where you go, do primary, you have established distributor. You go to 100 bars, go to 25-30 wine shops, take your product, sample, talk to the owner. You already built enough awareness on your brand and people know that you are doing.

So that when you go to a distributor, you know that if you sell 100-200 cases, it's going to go to

those many bars. The distributor is going to be far more comfortable taking on your product if you've already done that little legwork. So I think that's one of the simplest things that I think anyone can do.

[Speaker 4] (2:03:33 - 2:03:42)

Like you said, going from 0 to 1, the hardest thing for a newbie is to find a distributor. It's not as easy as you think it is. A lot of people don't want to take your brand.

[Speaker 3] (2:03:42 - 2:03:47)

Yeah, you have to show them your base volume. They will say, how much will it sell?

[Speaker 2] (2:03:47 - 2:03:53)

And then you don't know. So if Meenakshi vouches for a brand in Gurgaon, any distributor will take it.

[Speaker 4] (2:03:53 - 2:04:17)

Even in a bar, depletion is the biggest problem. You'll get a listing at Meenakshi's bar, but the bottle will be lying. How do you deplete it?

So it has to be a combination of... And secondly, how do you get it listed on the menu? It's at the bar, but when I open the menu, it's not there.

I have to convince Meenakshi that I will spend money. I will give you a band. I will give you a DJ.

But please put my alcohol inside one of your cocktails.

[Speaker 5] (2:04:18 - 2:04:21)

What if you give Meenakshi the alcohol and say, pay me after you sell?

[Speaker 4] (2:04:21 - 2:04:25)

That doesn't matter. That won't work. In the end, tertiary has to happen.

[Speaker 1] (2:04:25 - 2:04:28)

As it is, the credit period is high.

[Speaker 4] (2:04:28 - 2:04:30)

So for a newcomer...

[Speaker 3] (2:04:30 - 2:04:33)

So the consumer has to pick it up. If the consumer is not picking it up, then there is...

[Speaker 4] (2:04:33 - 2:04:43)

Or she puts it inside a cocktail which I market. Which gets sold further. My alcohol is getting depleted.

So a bartender is a route. Very popular.

[Speaker 2] (2:04:44 - 2:05:24)

Bartenders and counter salesmen. We call them CSM. So there is a guy who is a manager at a Madhuloka in Bangalore.

And that guy knows everything about what brand sales. Any customer who is a regular, who will go to that wine shop. Or to a Dewars or whatever.

Will ask the person. And he will say, this is new. And it's doing well.

I have tried it. So create that recommendation from people who are already in the business. And people trust.

You don't have trust. But the person who is standing there day in day out for years. Has far more trust.

And he will recommend your product only if that person likes it. So make that effort first.

[Speaker 3] (2:05:24 - 2:05:24)

So bartenders are...

[Speaker 2] (2:05:25 - 2:05:28)

Everyone wants to use bartenders. Every brand wants them.

[Speaker 4] (2:05:29 - 2:05:57)

For example, in the beer industry. When I was running Jade. I remember this so clearly.

People would pay the bartender. Outside of their job. You return caps to me.

I will give you 20 rupees a cap. For depletion. To make my distributor happy.

So he sells my product. So I am burning money. So that the bartenders are pushing my beer.

In the restaurant to customers. So you have to have innovative ways of marketing. How to deplete your product in a restaurant.

[Speaker 3] (2:05:57 - 2:06:56)

So I think at every level. Your intervention will change. So when the founder is talking.

Then you should talk to the founders of Dewar. And then sometimes if your sales team is talking. The sales team can talk to the bartenders.

Now it's... The lines are blurring as well. So when you are talking to the bartender.

You are selling the same product. But at the end of it. You have to see what is the bartender benefiting.

You can't just say. It's the best whisky in the world. And I have made a bourbon.

He is not the decision maker. They are never the decision makers. They are the ones who are actually going to.

Be the ones who can be advocates of the brand. They can talk about the brand. You give them the brand experience.

If you have a distillery, call them. Which is now happening in India a lot. A lot of the Indian makers.

Are calling bartenders, bar owners. To their source. And actually explaining them the whole process of.

Brewing the brand, creating the brand. And then they become part of the story. Then it's the same thing.

You are experiencing the brand from day one. And then you actually have a personal connect with that brand.

[Speaker 2] (2:06:56 - 2:07:01)

So there are multiple touch points. And every touch point, if you are a new brand. You have to disrupt.

[Speaker 5] (2:07:01 - 2:07:02)

And physically you have to go talk to them.

[Speaker 1] (2:07:04 - 2:07:05)

That's a newcomer.

[Speaker 2] (2:07:05 - 2:07:39)

And every person who is your stakeholder. Is the hero of his own journey. So you think that if a counter salesman's.

Journey is very different from a. Retail shop owners to a bartender. Relate to that.

Understand how your product can make their lives better. Whatever way it may be. That's the only connect that you have.

Nothing else works. If you are going to compete with money. Then you are already out of the game.

Because you are competing with people who have like. 100-200 billion dollar. You have to do something cooler.

All the biggest Indian industry. Is run by multinationals. Do you think sponsoring events works?

[Speaker 4] (2:07:39 - 2:08:30)

You can take this. So yeah, it does. I think these are all opportunities for brands.

To showcase their brand out of the bottle. So for example, in a Gin Explorers Club. There are two parts of it.

Legally. Alcohol brands in India. They cannot do their own events.

They can do their own events. But they cannot market the content. Legally online.

Post doing an event. So when these IPs of cocktail festivals come up. That's where all these brands come.

Participate. Content is created. You get at a very low cost.

You get high footfall. You get people intrigued into your brand. Because of how you've decked up your bar.

And the engagements that you have on your bar. And post that. You've not technically done your own event.

You come create content there. Which you can further amplify online. That's where you can call your influencers.

You can have photo opportunities.

[Speaker 3] (2:08:31 - 2:08:47)

Sponsorships also work far better. Because you are actually experiencing the brand. Versus just

seeing it on TV.

For example, you were to see an ad on TV. Of XYZ Whiskey and Gin. You see it.

Shah Rukh Khan is selling it as the best, amazing brand. That's it. That's the end of it.

[Speaker 4] (2:08:47 - 2:08:48)

But you can sample it too.

[Speaker 3] (2:08:50 - 2:09:27)

I mean with a surrogate you see it. But at the end of it. Now, today.

That is where I feel the quality of conversation has shifted. Where you'll be like. If I see a brewer.

Brewing companies. Whichever people's beer. I see an ad.

Versus if I actually get an experience. I go to a music festival. I get to try the beer.

I get to speak to the founder. The whole experience is the product. So I feel it's such a sensorial experience.

It's just like food. No matter how many advertisements you can put on TV. Or newspapers and magazines.

[Speaker 1] (2:09:27 - 2:10:08)

In this I would like to say. Like what Suchil did. He's created a niche.

Like the GEC he created. Was Gin. Gin was exploding in India.

So what happened. Like say my Jaisalmer. We did it there.

The launch. We were waiting for GEC. So what happened.

All the Gin lovers. As I said to make the. First 10,000 consumer.

Is the toughest. Loyalist. Then you become 50.

Then you become millions. So in GEC. It was just an evolution.

But all the Gin lovers. Because he had only Gin. Were coming there.

Which he coupled like a carnival. That is your music and everything.

[Speaker 2] (2:10:08 - 2:10:09)

One is a function.

[Speaker 1] (2:10:09 - 2:10:15)

That alcohol is there. He branded that. So for that a brand to come there.

[Speaker 4] (2:10:16 - 2:10:29)

And actually the Gin lovers. Coming there. It makes a lot of difference.

And also splits the cost of multiple brands. Like if my total cost is to do. To do this event is 4 crores.

Is getting split between 15 brands. Versus them creating their IP of their own.

[Speaker 2] (2:10:29 - 2:11:41)

But I think there is a. There is a. So a brand.

Is like a person. And you have to really understand. What's the brand personality.

Before you think about events. I think when you. One of the easiest things is what you are not going to do.

If you are clear about your brand. Venturing into events is a great way. We were very clear that we are not going to do.

Any collectivist activity. We are not going to do. Football screenings or anything.

That's general troping. Because we as a brand are focused on. Sustainability.

Making sure that. We are probably like. So we only focus on.

Sponsoring events which are like marathons. Which are like cycling events. Which are outdoor.

So you know what happens is you also then. When you own one category. And you are focusing entirely on it.

You become far more. Your entire digital spread. Is only going to be messaging.

That is very sub linear level. Which is going to come. They are saying that this beer is only drunk.

Or seen around these kind of people. Identify that. You know there are thousands of events.

You don't have that much dry powder. You have to choose where you are going to go. So you are saying don't go too broad.

[Speaker 5] (2:11:42 - 2:11:44)

What is your brand's value system.

[Speaker 2] (2:11:44 - 2:11:45)

You have to have a plan.

[Speaker 3] (2:11:45 - 2:11:47)

First year, second year, third year.

[Speaker 2] (2:11:47 - 2:11:55)

And if you can pick one category. And go to it till the end. And become like someone who becomes a brand for cyclists.

Or a brand for marathon runners.

[Speaker 3] (2:11:55 - 2:11:56)

I think identity deviation, IPD.

[Speaker 2] (2:11:57 - 2:11:58)

Whatever it is.

[Speaker 1] (2:11:59 - 2:12:14)

Like if you go to IPL. You won't be visible. Like you will spend.

Because we don't have VC funders. And the startup fund. Like not startup.

But like you know the big boys. So you will be lost. It's all the dot coms etc.

[Speaker 4] (2:12:15 - 2:13:07)

Who are sponsoring there. So IPL if you sponsor. You have to have a budget of 100 crores.

So in our language when someone comes to me. And tells me we want to launch a brand. Or we want to activate the brand.

Then we create something called a 1990. One is your big launch. Where you will spend maybe 50% Or maybe 25% of your budget.

Which will be a Delhi or a Bombay. Then in the 9. Where 50% of your budget will go.

Would be in your major metros. Which will be Delhi, Bombay, Bangalore. Where you will target about 50 bars each.

Where the rest of your budget will go. Then you will create a 90. 90 will be a small activation.

Which could be a drink serve. Or a glassware. Or a tower.

Which will go across majority outlets. Across every city. Whichever cities you want to activate.

So that's how you have to split your marketing budget. You cannot only do one launch. And extinguish your marketing budget.

[Speaker 3] (2:13:08 - 2:13:10)

That happens. You have to go consistent.

[Speaker 4] (2:13:10 - 2:13:15)

Your marketing budget is like the artillery. Mumbai is the most costliest.

[Speaker 1] (2:13:15 - 2:13:33)

Mumbai is the costliest. To convert any city. Like if he wants to launch his beer from Mumbai.

As a startup, it's very tough. The kind of money it burns. Like you know, I addressed Mumbai in the last.

It's the most expensive market.

[Speaker 2] (2:13:34 - 2:13:51)

Am I right? Yeah, absolutely. Because the high entry barrier.

Cost of K form. Which is the government taxes. Even the cost of entry into the retail.

The retail, you know. You need to discount and sponsor a certain set. Percentage when you want to enter.

Also space is limited. So the retail stores are smaller.

[Speaker 5] (2:13:52 - 2:13:54)

So where would I start my liquor brand?

[Speaker 4] (2:13:55 - 2:14:03)

Goa. Which brand? You will first list in Goa.

You will pay 50,000 rupees as your listing fees. To legally sell your alcohol in Goa.

[Speaker 3] (2:14:03 - 2:14:04)

You make it in Goa?

[Speaker 4] (2:14:04 - 2:14:08)

See bourbon, as it is, suppose if you start. You have to take 3 years time.

[Speaker 1] (2:14:09 - 2:14:13)

Then you come to Gurgaon. So basically it's a 5 year process from now.

[Speaker 3] (2:14:13 - 2:14:26)

What if I buy old? You can do the other model. We are not distilling.

We are also talking about changing the model a little bit. So we can buy spirit and blend it. And age it.

Age it.

[Speaker 1] (2:14:26 - 2:14:28)

We have to find.

[Speaker 3] (2:14:30 - 2:14:32)

I feel Goa would be easier than any other market.

[Speaker 4] (2:14:32 - 2:14:59)

Goa would be the easiest. Age it there itself. Pay 50,000 rupees to the government.

Get listed there for one product. Very cheap. And sell it like a beer for 50 rupees.

In Delhi it would be 180. It would be 12 lakh rupees. Whisky is 25 lakh rupees.

Per SKU in Delhi. To get your product listed. That's just listing.

Who knows. Listing is from a 0 to 1.

[Speaker 1] (2:14:59 - 2:15:07)

Mumbai is the most expensive in retail. Rampur here is 12,500. In Haryana it is 7,000.

Delhi it is 8,000.

[Speaker 3] (2:15:07 - 2:15:09)

Mumbai is the highest.

[Speaker 4] (2:15:09 - 2:15:11)

So 44 would be Gurgaon.

[Speaker 3] (2:15:11 - 2:15:14)

49 would be Goa. This is after reduction for the last 2 years.

[Speaker 4] (2:15:14 - 2:15:17)

Mumbai is the highest.

[Speaker 3] (2:15:17 - 2:15:18)

But this is after reduction rates.

[Speaker 5] (2:15:18 - 2:15:20)

So we got this interesting stat.

[Speaker 1] (2:15:22 - 2:15:26)

What percentage of a state's revenue comes from alcohol?

[Speaker 5] (2:15:28 - 2:15:31)

The highest happens to be Uttar Pradesh, 22%.

[Speaker 1] (2:15:31 - 2:15:34)

And we contribute 26% of the state's revenue.

[Speaker 4] (2:15:35 - 2:15:45)

That's crazy. Karnataka 20%. 12,000 crores.

Karnataka's taxation is mad. 80% tax is what you pay in between.

[Speaker 5] (2:15:45 - 2:15:46)

Karnataka is the worst.

[Speaker 4] (2:15:48 - 2:15:49)

Second is Karnataka.

[Speaker 5] (2:15:50 - 2:15:58)

Third is Bengal. 20.2% percentage wise. Actually sorry, Pondicherry is 40%.

[Speaker 4] (2:15:59 - 2:16:02)

That's also a distribution hub. It's not actually a place where people...

[Speaker 5] (2:16:02 - 2:16:08)

Then comes Punjab, Uttarakhand, Himachal, MP, Andhra.

[Speaker 1] (2:16:10 - 2:16:11)

Chhattisgarh is a huge...

[Speaker 5] (2:16:11 - 2:16:14)

They're all 17-20%.

[Speaker 1] (2:16:14 - 2:16:15)

UP is the largest.

[Speaker 5] (2:16:15 - 2:16:19)

But this is crazy. A state is earning 20% of its revenue.

[Speaker 1] (2:16:19 - 2:16:39)

Not one but so many. And they make everyone's life so difficult. Because excise is the only thing under state subject.

We've been lobbying that why don't we come under GST. GST, yeah. I don't get any input credit. We are the privileged ones.

Because the minute if I come under GST my whole game is changed. Our balance sheet would look so beautiful.

[Speaker 5] (2:16:40 - 2:16:45)

Can you make the case, like articulate because we'll make this a reel and put it out for whoever is listening.

[Speaker 1] (2:16:46 - 2:17:11)

Why should you move from state to GST? See, first of all any, like suppose if I'm transporting my material from Delhi, UP to any other state. I have interstate duties.

Then I do not have any input credit on my raw material. Excise duties are different. So if GST comes, I'll be like normal.

Why are you manufacturing in UP? Are the duties lower than gold?

[Speaker 2] (2:17:11 - 2:17:11)

No, no.

[Speaker 1] (2:17:11 - 2:17:30)

I have to manufacture every, that's why I have 41 units. That's the biggest entry to barrier. It's a big cost of transport.

Cost, not logistics, duty. Yeah, also. So it's absolutely like, I'm telling you it's like, to getting into liquor is so complicated because of that.

[Speaker 2] (2:17:31 - 2:19:16)

But it takes a long time. I have a question for you now. So, let's you know, think about it that you know, AlcoBev is slower because let's say if you were, India is the biggest whiskey market.

But we have, apart from like the biggest guys like Radico Khetan or you know Purnose or DIGs of the world, nobody is making malt spirit here. One of the reasons is if you start malt, you have to mature it for 8 years, 12 years. Now, I went the whole route of with zero money starting going to investors in 2017-18, just with an icebox when the laptop was owned by Pernod Ricard.

So, literally most of the investors back in the day were all tech investors. And they were very new to consumer. And any kind of open market money that's available in India looks at that same 11 year return that everyone has to give to their LPs.

7 years. 7 years, yeah or even shorter. The term sheets are 5 years plus 5 plus 2 but you probably give the money 5 plus 5.

So, how would you now create this kind of, if you were to, you see this is a 300 million dollar, 300 million cases industry, largely run by whiskey with zero upgrade happening on product. Essentially because there is no capital that can finance a business that can have those many legs or the length of it. As a person who is from finance, what would be the product that you would probably create for this?

This category. In terms of funding, if somebody would come to you and say I would want to build a mall distillery and you know, the returns would come after 12 years. How would you look at it?

What would be that? As a startup. Yeah, as a startup.

Phenomenal product. Made in a small lab.

[Speaker 5] (2:19:18 - 2:20:38)

I think we are a little bit of an exception to that rule because we are a perpetual fund of sorts. Because we don't allocate third party money and it's mostly prop money. We have really long tenures.

The current thesis I have, thesis passion, fascination is to watch Indian brands kill it abroad. So, be it with Radico, be it with Subco, be it with Bluestone, be it Ather, motorcycles. These are all or 1111, the shirt company.

These are all investments which are far from maturity. The question if they will ever mature and turn profitable is also unknown. But my thesis today is to find the hero product.

Find places where the product is solved for. The rest of it we'll figure out along the way. I'm there right now and I'm happy to take these bets.

Passionately take these bets and I have a lot of fun with them. If I like a product in a certain category, the marketing, the sales, the narrative, the financials, all of that comes second. If I can find a product that can compete internationally, I'll do it.

[Speaker 1] (2:20:38 - 2:20:41)

But what if a product is born after 5 years?

[Speaker 2] (2:20:42 - 2:20:46)

His question is that. Suppose already a person is there.

[Speaker 1] (2:20:47 - 2:20:51)

But one is that a person comes. I can taste the product in 5 years you mean.

[Speaker 2] (2:20:51 - 2:20:53)

You will get a glimpse of it maybe of the product.

[Speaker 1] (2:20:53 - 2:21:01)

No, you'll only get the glimpse of the packaging or whatever. All directionally. The malt and everything, it'll take 5-6 years before the product comes in.

[Speaker 2] (2:21:01 - 2:21:08)

Your first money, your revenue after funding is 7 years, let's say 6 years.

[Speaker 5] (2:21:08 - 2:21:38)

I'll tell you my biggest worry and I'm being really honest here. With liquor, I have to put it in a different box as many of these other investments which might be an energy transition or whatever. Because there I'm betting sector thesis.

If I'm betting on an electric vehicle which I will see in 5 years, broadly I'm sold to the idea that we'll switch from fossil to renewable and we will need the end point to be electric to have efficiency in the value chain.

[Speaker 4] (2:21:38 - 2:21:38)

Right.

[Speaker 5] (2:21:38 - 2:23:24)

If I find a good guy there, it's enough. With liquor, it's a little bit more convoluted because the data I'm accessing today is we typically tend to mimic the west in terms of consumption patterns in India and the fact that the Gen Z are drinking lesser than millennials is something which is of a worry to me. I would need to buy into the sector truly.

Radico is an exception to me because they have a differentiated Indian first product which is almost patriotic in nature and I love the fact that people are fighting over Radico bottles in a duty free versus a Glenfiddich or another brand like that. I love the idea of that. I like the names, I like the taste.

These are elements that appeal to me today. But otherwise, liquor as a category, I would have to be sold and somebody probably will come along the way and sell it. I'm not taking the moralistic debate here.

Something is legal, it's legal, people should do it in moderation. I'm a capitalistic investor and I will not fiend morality and altruism in a manner that I don't have to and I don't believe in doing it either. If somebody smart comes to me and says here is this new alcohol, it's not an IMFL, it's more made from, I don't know, some lemongrass or some plant in India and this has history and culture, 500 years, we will package it this way, sell it that way, we will take it to market this way, in 5 years from now, I would probably buy it if he is convincing enough.

[Speaker 4] (2:23:25 - 2:23:40)

But also 0 to 1, what I see in the market is very few investors want to back people in the alcohol space. I had to pitch to 80 people when I was starting. We don't touch alcohol or meat.

That's the first answer.

[Speaker 5] (2:23:41 - 2:24:59)

We are starting this new fund. It's not actually a fund, it is a grant. It is 3 times as big as Shark Tank.

We don't, in terms of the amount we give out, we don't take any equity in the businesses that we give these grants to. We are just looking at young people, under the age of 25, great ideas, no money to execute and we are giving them money through a segregation process, not large checks, 20 lakhs, 40 lakhs. But to a lot of people, the end result is, if it inculcates entrepreneurship in the country, it's something that we are all very passionate about and we are all in this ecosystem where we have been so lucky by virtue of circumstance over the last, I don't know, 15-20 years, it has more appeal to me than giving that money to a charity.

What about celebrity led brands? Do you think it works? I know in fashion, I'll give you an example.

When I've looked at fashion, cosmetic, brands led by celebrities, in India, have not worked, globally have worked. There's some dichotomy there. I don't know why it is not working in India.

What do you think will be the use case for alcohol?

[Speaker 4] (2:25:03 - 2:25:32)

Globally, the people who were building alcohol brands in America were celebrities and the following was of a certain strata and of a certain disposable income that would follow them. So tomorrow, if Ranveer Singh starts an alcohol brand of a premium segment, the people will see through that. So I'm not going to start drinking a certain type of product because Ranveer Singh drinks it.

[Speaker 5] (2:25:34 - 2:25:36)

Who should start what? Which actor should start what?

[Speaker 4] (2:25:37 - 2:25:42)

I think Aryan Khan, what he's doing, I think he's doing a good job.

[Speaker 5] (2:25:42 - 2:25:43)

The Diavol.

[Speaker 4] (2:25:43 - 2:25:48)

Diavol, he's got a vodka, he's got a malt now and he's got a fashion brand.

[Speaker 2] (2:25:48 - 2:26:09)

I think Zeenat Aman should do a wine. If at all. I think it's very interesting.

You know because Ryan Reynolds built Aviation. Zeenat Aman, how many of the people would know her now? Regardless, I'm saying if you see how Ryan Reynolds built Aviation.

Celebrity endorsement or celebrity doing a brand?

[Speaker 1] (2:26:09 - 2:26:10)

Own brand.

[Speaker 4] (2:26:10 - 2:26:14)

Does endorsement work? It's basically putting...

[Speaker 5] (2:26:14 - 2:26:19)

You're talking about a celebrity doing a brand. Definitely yes. How about celebrity marketed brand?

[Speaker 1] (2:26:20 - 2:27:52)

I'm sure you use it. See I've got a lot of experience with a lot of brand ambassadors. Did it work?

See what happens now as a startup because I started with kind of zero money. When I got engaged, I didn't have money to open a bottle of champagne that time for my wife. I was in Calcutta.

So that kind of we were like stretched, totally stretched. So what I realized you take a celebrity, you buy a Mercedes, you buy a Rolls Royce but you don't have petrol to put in it. So one is the celebrity, the film cost but the main thing is airing and doing justice.

So one is you do justice with it. So if you take a celebrity, you have to do proper justice. You have to spend enough money.

Nowadays celebrity also if you see a movie, especially I'm talking today's context. Celebrity cost is huge. Filmmaking is huge.

Then to air it, so you have to have a substantial budget. But it works with the budget. What it does it gets you immediate recall depending on how you use the celebrity.

But not sales. No, it'll help you for like eyeballs. It's like getting a So like what he said, with that

the salesman has to be motivated, the bar guys have to be motivated, the PR should write about it, it has to be, events should be there.

So it has to be a 360 degree turn. So if you have an X budget, then you see where you have to spend it because in alcohol, it's a dark environment.

[Speaker 5] (2:27:53 - 2:28:04)

If celebrity marketed brand, we've all agreed does not lead to sales but maybe gives you visibility and brand recall, does product placement work? How does that work?

[Speaker 1] (2:28:05 - 2:28:44)

The bigger question I have, which I want to ask you, like we've seen in all the e-com sites where they have become like unicorns and everything. See in alcohol, suppose money is for the private equities, no problem. There's enough capital which is available.

Now suppose if you have a budget of 300 crores and you say I want to start a brand. And in two years I go boom, boom, boom, boom on the TV, media, whatever dark environment I have. Do you think will it succeed?

In an e-com, it might succeed because you buy customers. You have a call to action. But alcohol, I think it's very tough.

[Speaker 4] (2:28:45 - 2:28:46)

It has to be built through taste.

[Speaker 1] (2:28:46 - 2:29:10)

It has to be built through generations. It has to be built slowly. Because what I believe in alcohol, you cannot push sales.

You have to win sales. Like as I said, first 10,000 is important. So even sometimes I brew with that idea whether is it the right strategy?

But in my last 20 to 2 decades of my experience, I feel it's not worked.

[Speaker 4] (2:29:10 - 2:29:20)

But what ends up happening is 0 to 100 happens when you go into someone else's distribution chain, right? But the minute you put in 300 crores, you want that your sales should happen.

[Speaker 1] (2:29:20 - 2:29:23)

Then you'll dump the material. But the consumer won't come so fast.

[Speaker 4] (2:29:24 - 2:29:41)

And India is a vast country. Diageo or a Pernod, to get into their distribution, what ends up happening is, okay, you want to take one case of Johnny Walker, you have to take 6 bottles of this new brand which I've launched. So it's actually literally pushed onto an outlet.

[Speaker 3] (2:29:41 - 2:29:50)

So you say, you buy this, but I have this brand which is not selling. But you're still like, take 2 bottles. So then you'll be like, okay, this is fine.

Let's take an example.

[Speaker 1] (2:29:50 - 2:30:16)

Suppose if a guy comes, a new guy, I want to take your bar shelf. I want visibility. I'll pay you X lakhs.

Okay, you keep this much bottle. She'll keep it once. But if it does not go and it's a new brand, first of all, why will anyone come and take a new brand?

It has to be built gradually. Am I right? It's very difficult.

In alcohol, it's very difficult where you can just pump in monies and consumers will come. It's a very slow process.

[Speaker 2] (2:30:16 - 2:31:33)

And also another very interesting thing about India is, before you realize how your product's doing, you can, so what happens a lot of times when you are, you can grow. You start off with, say, South Bombay and South Delhi and Bangalore. And in one year, there is always, in India, there is always a rush to try a new product.

We are a large country. People want to try new things because new things don't happen that often. So the consumer is drinking your product in, say, the early cities.

So you see traction coming in. But then you say, okay, you know, I'm going to get money, raise a large amount of money and I'm going to go into newer markets. So by the time you go to Thana and you're going to the suburbs and everything, you're still growing because you're doing primary sales.

But your original core consumers doesn't come back to you. Repeat. This, you start going from Thana now to Nasik, from Nasik to Ratlam.

It takes you five years. And we still grow year on year. But you're, if you don't measure your sales

at outlet level where you started, your core consumer stickiness, and repeat, then you may show a growth story on the numbers, on the balance sheet.

But in reality, you are actually just recruiting new consumers through novelty and losing them as fast as you're doing it and paying a huge amount of money to do it. And that's very, very wasteful. So you're saying there's no mote.

People switch. There's no brand.

[Speaker 1] (2:31:33 - 2:31:33)

No, no, no, no.

[Speaker 2] (2:31:33 - 2:31:37)

What he's saying is that you will go from one geography to another.

[Speaker 1] (2:31:37 - 2:31:45)

India is a vast country. Suppose you can show growth to anyone, any investor. Yeah.

But eventually it is a repeat which counts.

[Speaker 2] (2:31:45 - 2:31:46)

Yeah.

[Speaker 1] (2:31:46 - 2:31:52)

Fair. So if actors don't necessarily work for India, what about social media influencers?

[Speaker 5] (2:31:52 - 2:31:54)

Are they a good medium to sell alcohol?

[Speaker 1] (2:31:55 - 2:31:55)

Yes.

[Speaker 3] (2:31:55 - 2:31:56)

Yeah.

[Speaker 1] (2:31:56 - 2:32:01)

But sell alcohol means for a brand or what? For advertisement. 100%.

[Speaker 3] (2:32:01 - 2:32:44)

They do. You have to be careful on who you're investing on and do your research. I feel there are now apps and there are ways to actually find out if that influence is bought or who that person is talking to, what the male to female ratio is, which country they are in, which city they are operating in.

So now good thing is that it's a far cheaper way to acquire consumers than actors. But also having said that, what influencers also do for you is that they are also physically present which actually changes the game a little bit. It is kind of like the digital way of experiencing the brand.

You know, in the sense that they will taste say a whiskey and be like, I find it like smoky.

[Speaker 1] (2:32:44 - 2:33:04)

Also it depends on the category. If the higher you go, suppose you go 8-10,000, you don't need any marketing. If you market, you won't be able to sell.

The only thing should be word of mouth and PR, press and the competitions. If you go highest up.

[Speaker 5] (2:33:04 - 2:33:07)

There are spirits competitions. Is that what worked for your 5 lakh rupee bottle?

[Speaker 1] (2:33:08 - 2:33:10)

5 lakh, Rampur, Jaisalmer, everything.

[Speaker 3] (2:33:10 - 2:33:12)

Even Rampur, Jaisalmer have done that.

[Speaker 5] (2:33:12 - 2:33:14)

I saw it in the press. Was that organic press?

[Speaker 1] (2:33:14 - 2:33:20)

Yeah, yeah. Organic. Because of the novelty of a bottle costing 5 lakh.

Absolutely. It's the most expensive.

[Speaker 4] (2:33:21 - 2:33:24)

It's a big deal. It's an Indian brand. Like even Jaisalmer.

[Speaker 1] (2:33:25 - 2:33:50)

There was a huge article that 50% of the luxury gin. So I think the higher you go, it should be the press and you don't need to market because it looks like if you see the Bernard, LVMH group. I think he is the biggest brand creator.

Louis Vuitton, Moet Tennessee, Belvedere, all the luxury. But you don't see them. Beyond a point, you don't see them advertising or beyond a point.

[Speaker 3] (2:33:50 - 2:33:54)

Then that's a category play. So if you are in a luxury segment, you will play a luxury game.

[Speaker 1] (2:33:54 - 2:34:01)

But for the regular social influencers So if you are looking at a lower 12-1400 level or even go up.

[Speaker 2] (2:34:02 - 2:34:14)

Influencers are a great thing. Organically people like your product. They post.

You don't have to really do that. Nowadays the new generation loves it. They are spending half the time on mobile.

[Speaker 1] (2:34:15 - 2:34:18)

Half the time they are on the mobile. There is a catch 22.

[Speaker 2] (2:34:18 - 2:34:38)

It has to be spoken about. There is a flip side to this where if you come across as a brand that is paying for influence. Then people see through it very very quickly also.

So let it be organic. Which is far better because good people will, your relevant consumers will drink your product and they will post about it.

[Speaker 3] (2:34:38 - 2:34:50)

There is this whole thing about discovery. Today's time industry is a big influence. So for example, I would send him if I have a bar in Goa, I will tell him or if he is in Delhi, I will be like come to my bar and let's have drinks.

[Speaker 2] (2:34:50 - 2:34:52)

There is this mutual appreciation society.

[Speaker 3] (2:34:52 - 2:34:55)

If he thinks something good for me, it's good. And I always post about it. It's a thing.

[Speaker 2] (2:34:56 - 2:34:58)

But you know he said link to the focus on quality.

[Speaker 3] (2:34:58 - 2:35:09)

So we are all talking to the same people in the universe but there are, all of us have pockets of people who follow you because they think you know best what you taste. We will go to Meenakshi's bar next time.

[Speaker 1] (2:35:09 - 2:35:16)

Next time you have to make us the best cocktail. And being from the alcohol industry we will have at least three cocktails. So three of your best.

[Speaker 3] (2:35:16 - 2:35:18)

We should do this.

[Speaker 1] (2:35:18 - 2:35:20)

If we do this combination in the bar, it will be later.

[Speaker 5] (2:35:20 - 2:35:24)

It will be insane. Far louder. It will be crowded.

[Speaker 1] (2:35:24 - 2:35:31)

She will be like wait in line. We can use our influence. We know Meenakshi.

So she will have a smaller, but we like crowds. I will send you to the roof.

[Speaker 3] (2:35:32 - 2:35:33)

It's very hot in Delhi.

[Speaker 5] (2:35:35 - 2:35:49)

So premiumization. Is this an easier path for someone starting off to hit instead of trying to create a 1500 rupee bottle of whiskey. Should I try to create a 10,000 rupee bottle called Bengalu?

[Speaker 3] (2:35:52 - 2:36:16)

I mean whose question is this? So we are all talking. So we are, I would say creating a 10,000

rupees a bottle also takes that much more out of you in terms of the money the resources, the whole everything.

You are raising the bar in every form. It's like me saying I can have a bar here and then I can have a bar in Dubai or London.

[Speaker 5] (2:36:16 - 2:36:25)

What if I buy Radico's good whiskey at 5,000 rupees. Repackage it and call it something else. Build a story and sell it for 10,000.

[Speaker 4] (2:36:25 - 2:36:27)

And is the product good?

[Speaker 5] (2:36:27 - 2:36:28)

Slightly different. Yeah, good product.

[Speaker 4] (2:36:30 - 2:36:40)

It depends on what your go to market strategy is. If your goal is to actually launch the 1200 product but your go to market is My story will be 25 year old boy in Bangalore starts a liquor company.

[Speaker 5] (2:36:40 - 2:36:43)

Whiskey selling at 10,000-20,000 rupees.

[Speaker 4] (2:36:44 - 2:36:50)

XYZ sold. But you have to have something around the whiskey. Why?

Why the price?

[Speaker 3] (2:36:51 - 2:36:53)

I don't feel price.

[Speaker 4] (2:36:53 - 2:36:54)

It has to be story.

[Speaker 5] (2:36:55 - 2:36:57)

Like say there are red ants.

[Speaker 2] (2:36:57 - 2:37:01)

Zero calories. Actual red ants in the whiskey.

[Speaker 3] (2:37:01 - 2:37:03)

No, those are gimmicks. Gimmicks won't take you long.

[Speaker 2] (2:37:04 - 2:37:21)

If Nikhil's whiskey is 10,000 rupees. So in these categories where you are creating a niche, you have a great product to start with but you have an influencer. Someone who has authenticity and who says this is Nikhil's Bangalore.

Then it will sell. But then they are buying into you.

[Speaker 3] (2:37:21 - 2:37:21)

Right.

[Speaker 4] (2:37:22 - 2:37:28)

But if it's Initially, but your product in the long term your product will have to be great in order to get your second order.

[Speaker 5] (2:37:28 - 2:37:43)

My real question here is can you discern between 5,000 and 8,000 rupees whiskey? To a layman. I am not talking as an expert as one of you guys.

I am blind tasting a whiskey which costs 10,000, another which costs 4,000. Can I distinguish? That's subjective.

[Speaker 4] (2:37:43 - 2:37:44)

4,000 and 10,000 is very subjective.

[Speaker 3] (2:37:45 - 2:37:45)

That's subjective.

[Speaker 4] (2:37:46 - 2:37:48)

But 8,000 and 10,000 No, no.

[Speaker 3] (2:37:48 - 2:38:18)

4,000 and 10,000. I am buying something for 4,000, adding one element. I think you can make out if you are a whiskey person.

Like if I am buying an 8,000 rupees bottle, I will sort of have an idea what I am looking for. I might or might not with full conviction know. But I will know a little bit of what I am looking for.

And also again, see the price is never the ladder. That is just the ladder. So you are also talking about what type, right?

So there are Japanese whiskey that are playing in lower level.

[Speaker 5] (2:38:18 - 2:38:24)

The angle I am playing is because I am selling it for more people will make a natural assumption that it is better.

[Speaker 1] (2:38:25 - 2:39:37)

So there is this fuzziness. See, I will tell you. Now let us divide whiskey in two categories.

Either it will be a Scotch or an Indian whiskey. Now a Scotch is differentiated by age. And location.

So 18 year old generally it sells for about close to about 12,000. 12,000 a blue label is 18,000. Now Indian whiskey or anything if you say that you are supplying at 10,000.

What is your USP? The USP will become a worry. Then you come on to a single malt.

Single malt is region specific. It is a world malt. It is different where everything like the wines.

Earlier it was the French wines which were ruling the market. Today you have all the new age wines. Earlier it was only French.

Same thing like the malt. It was only Scottish malt. Then you had the Irish whiskey, the bourbon whiskey.

Then the single malts from Japan, the Asian, the Kavlans, now the Indian malts. So there you can create that differentiation with your blend, with your cask. So it is like an artistic.

[Speaker 3] (2:39:37 - 2:39:40)

No, I am talking about premiumization from the lens.

[Speaker 4] (2:39:40 - 2:39:41)

Whiskey you can't do.

[Speaker 3] (2:39:43 - 2:39:46)

No, but price is an indicator of quality.

[Speaker 2] (2:39:46 - 2:39:56)

Indian whiskey he cannot charge say 10,000. No, you can charge anything you want. I think the basic idea is you have to just step.

[Speaker 3] (2:39:57 - 2:40:01)

I know a lot of rich people who go to a bar and want to order the most expensive thing.

[Speaker 5] (2:40:02 - 2:40:03)

But if you have a story.

[Speaker 4] (2:40:04 - 2:40:13)

If there is an 8,000 rupee scotch and a 10,000 rupee Indian whiskey, that rich person will go for 8,000 rupee scotch. I don't know about that.

[Speaker 3] (2:40:13 - 2:40:20)

No baba, but they will also move. They will also jump into the next 10,000. Two months later another one will come and they will be like I am leaving Nikhil's brand.

[Speaker 4] (2:40:21 - 2:40:22)

You have to have a mood in your product.

[Speaker 1] (2:40:23 - 2:40:43)

You have to have we have attempted where we have really got successful where the first Indian whiskey is at the BIO scotch level 100 rupees higher. Our Royal Vanthapur is 100 rupees higher than all the competing brands. It's selling like hot cake.

But the quality, the packaging, the story is very good.

[Speaker 5] (2:40:44 - 2:40:51)

Do you think patriotism as a narrative is selling in India today? If I were to create a brand around alcohol?

[Speaker 1] (2:40:51 - 2:41:06)

100%. I think Indian being a proud like always I have advocated being a proud company, Indian

company is the way forward. People are looking for Indianness.

People are proud to be Indian. Like even if you see all my products, it's all Indian.

[Speaker 5] (2:41:06 - 2:41:07)

But Indianness is euphemism for patriotism?

[Speaker 1] (2:41:07 - 2:41:13)

Like our Rampur that five lakh rupee bottle as written in Sanskrit on this. That happiness lies within.

[Speaker 5] (2:41:14 - 2:41:19)

But what is the underlying emotion that you're appealing to when you write in Sanskrit and call it Rampur?

[Speaker 1] (2:41:20 - 2:41:58)

I think like if you see the Indian culture, like if you go to New York, Indians we are underestimating our power. With what has happened in the last decade and what is going to happen in the next decade. India from being a third world country we are becoming a superpower.

It's a translation. We have to have that belief in ourselves. Yoga.

I was in New York there was a yoga week on Times Square. I'm agreeing with you. So 100% Indianness will sell.

If you try to be a foreigner, try to be like the western community you're not different. They are better than us. But Indians are better than them.

[Speaker 5] (2:41:58 - 2:42:06)

I'm agreeing with you to the extent that I will give you an example of how the Chinese prefer Chinese versions of different things.

[Speaker 1] (2:42:06 - 2:42:12)

89% is the EBITDA margins. Most valuable listed company in the world.

[Speaker 5] (2:42:13 - 2:42:33)

So I'm aligned with you the world might be deglobalizing in a manner where patriotism is sold to consumers across the world in different pockets. My question is rooted from to our audience to

the entrepreneur who is starting a liquor brand, whatever liquor. Should he make that an inherent part of his story?

[Speaker 3] (2:42:34 - 2:42:40)

No, no. Look for authentic stories. It can't be a gimmick.

You mentioned you are from a certain...

[Speaker 1] (2:42:40 - 2:42:53)

You have to have a passion. If she started a bar, it is a passion which is speaking. So there is something like Suchit D, the GC I've been there.

It's fantastic. Or his beer.

[Speaker 4] (2:42:54 - 2:43:03)

So my point is that passion has to speak. The story won't sell. Patriotism isn't about being It has to link to the brand and to the branding.

[Speaker 5] (2:43:04 - 2:43:18)

To the crowd that we are talking to should we recommend opening their company in alcohol and tequila mezcal? I know me and Abhishek had long conversations about this where you can only call it tequila if you get the spirit.

[Speaker 4] (2:43:19 - 2:44:28)

I believe strongly in agave based spirit only because of price point. What happened to gin in India because of the import duty. If we educate, if a big conglomerate comes up and pushes the narrative a lot of an agave based spirit because tequila gets very expensive to serve at a party.

If you are serving a basic Don Julio Blanco in a place like Delhi you will be spending about 6000 rupees a bottle. You are entertaining at home. Now people are drinking tequila the way they are drinking vodka.

So minimum consumption for a 30 people party you are doing 8 bottles. There that's where Pistola Pistola has come in at a very good price point. That's from Goa.

They have come in at a very good price point. And I believe there is space for an agave based spirit in India. If there is enough money to educate people that okay yes tequila has to be blue Weber agave from the region of tequila from the region of 5-6 states but there is a space for an agave based spirit coming out of India.

[Speaker 5] (2:44:29 - 2:44:33)

There's folklore that tequila gives you the least hangover. No, not at all.

[Speaker 1] (2:44:33 - 2:44:35)

It is all marketing.

[Speaker 5] (2:44:37 - 2:44:41)

So is hangover equally proportional to alcohol percentage? No.

[Speaker 1] (2:44:42 - 2:45:14)

It's also in distilling when you get higher alcohols. When you have whiskey, see every alcohol is 42.8. Basically until you go for a cask drink. Now whiskey has malt.

So it has let's take say a vodka. It is the cleanest spirit. It is triple distilled.

It is 6 times distilled, etc. filtered. So the cleanest spirit.

Same thing tequila is a clean spirit. Even a gin is a clean spirit with some herbs. And so is a rum, a white rum.

[Speaker 5] (2:45:14 - 2:45:19)

Explain to me what is hangover? Why do you feel a certain way after a night of binging?

[Speaker 4] (2:45:20 - 2:45:25)

So when you drink wine for example, if you drink a wine or a dark spirit, there are tannins, there are impurities.

[Speaker 3] (2:45:26 - 2:45:29)

It's called congeners. So which are called impurities in a spirit.

[Speaker 2] (2:45:29 - 2:45:31)

So the finer you distill it.

[Speaker 3] (2:45:32 - 2:45:34)

That's again chemical. A little bit of that.

[Speaker 2] (2:45:35 - 2:46:27)

When you ferment you also create higher alcohols. Not just ethyl alcohol. You also create more

heavier alcohols which normally in a pot or a still distill you distill out at a lower like a height.

Because it's also alcohol but evaporates. So you have something which is called a distiller's cut. So you try to eliminate as much as high alcohol as possible.

But in beer what we do, that's why beer is the hardest because you have no room to hide. You're just giving pure fermentation. It's the hardest thing to do because you make a mistake anybody will catch.

Yeah, you can make a mistake and something is wrong with the beer quickly. You have to be extremely more careful in terms of how clean you ferment. These things cause you hangover?

Yeah. So the more fermentation is not balanced, if your distiller is not really like skilled or how you're cutting it, you will actually pass on a lot more higher alcohols and you know all these fusel oil.

[Speaker 4] (2:46:27 - 2:46:28)

Basically it's aldehydes.

[Speaker 2] (2:46:28 - 2:46:30)

There's a term which is called fusel oil.

[Speaker 4] (2:46:30 - 2:46:31)

And that's the same?

[Speaker 2] (2:46:32 - 2:46:34)

Is that the same for vodka, tequila?

[Speaker 1] (2:46:35 - 2:47:04)

No, whiskey is different because whiskey you add malt, you add BMS. So it is more like if you have a whiskey that's why if you say when you're young basically you start from a vodka or a gin, it's easier on your pellet and aftertaste. Whiskey you have to acquire that taste. It's heavy.

So there if like the BMS, the wetted malt spirit, if that is of low maturity then it adds that hangover to you. But as whiskey and vodka and gin it is more cleaner and tequila.

[Speaker 5] (2:47:05 - 2:47:10)

So which is the alcohol if I have the same quantity will I get the least hangover?

[Speaker 1] (2:47:10 - 2:47:11)

Anything which is white.

[Speaker 2] (2:47:11 - 2:47:13)

Vodka. I think beer.

[Speaker 4] (2:47:14 - 2:47:16)

Hard liquor or what?

[Speaker 2] (2:47:16 - 2:47:18)

Well made beer of course.

[Speaker 1] (2:47:19 - 2:47:19)

Hard liquor?

[Speaker 4] (2:47:20 - 2:47:25)

Between vodka, tequila, rum all three of you. Not rum. I think vodka.

All the white spirits.

[Speaker 3] (2:47:27 - 2:47:34)

It's age spirits versus white spirits. So you can say age spirits are difficult because of course lot of things are adding on.

[Speaker 5] (2:47:34 - 2:47:50)

I'm going to digress and ask a question. One, I'll come to each of you for a second. One underrated liquor at any price point not from your own brands that one should drink.

Absolutely should drink.

[Speaker 3] (2:47:50 - 2:47:54)

Brand? Like they have their own brands. He can't say.

[Speaker 4] (2:47:55 - 2:47:58)

Start with Meenakshi.

[Speaker 3] (2:47:58 - 2:47:59)

One underrated category?

[Speaker 5] (2:48:00 - 2:48:02)

One underrated bottle of alcohol.

[Speaker 1] (2:48:03 - 2:48:04)

Underrated?

[Speaker 3] (2:48:04 - 2:48:31)

I feel like Mikta's Rai is a great, superbly great Rai whisky. Which I feel it's very difficult to get your hands on and many people don't know about it. And I feel that's a category that that's a space that everybody talks about.

Scotch whisky and now there's many other whiskies of the world. I feel there's space for Rai to do more.

[Speaker 4] (2:48:32 - 2:48:48)

Interesting. For me one of my favorite things to drink is a Campari soda. What?

Campari soda. It's bitter, it's 28% alcohol. Campari has a spirit.

A lot of people just have it in a Negroni. But as a drink, I think Campari is one of my favorite things to drink.

[Speaker 3] (2:48:49 - 2:48:50)

How is it underrated though?

[Speaker 4] (2:48:50 - 2:48:54)

It is underrated because most people don't drink it on a regular basis.

[Speaker 1] (2:48:54 - 2:49:07)

Whether it is underrated or not like maybe the availability is less or what. I love a Glencoil. What is that?

Glencoil. It's a malt. Glencoil.

[Speaker 3] (2:49:08 - 2:49:09)

It's super.

[Speaker 2] (2:49:09 - 2:49:11)

21 year old. I love it.

[Speaker 3] (2:49:11 - 2:49:13)

Well awarded. Very well pleased.

[Speaker 2] (2:49:13 - 2:49:16)

But you don't get it much. Availability issue.

[Speaker 3] (2:49:16 - 2:49:17)

Suraj?

[Speaker 2] (2:49:17 - 2:49:27)

I think recently I've tasted maybe like an aged rum called Mazma. Indian rum. Aged.

Interesting effort you know in terms of like. So because there's nothing happening on rum.

[Speaker 1] (2:49:27 - 2:49:28)

Indian rum?

[Speaker 2] (2:49:28 - 2:50:03)

Yeah. And at a premium price point I sipped at it at a bar and it was quite interesting in terms of product. I think that's yeah.

Because there's so much more happening in whisky where there's big money and there's big multinational like Pernod D.I. Joe's all launching their Indian malts now. It's not just Amruth, Paul John and Radico. It's opened up quite a lot.

So I think whisky's, all Indian whisky's tend to follow a certain pattern but I found one Paul John's Christmas Bold Edition was actually a very nice Sherry Oloroso cast finish. This year's phenomenal.

[Speaker 5] (2:50:04 - 2:50:17)

How big are pre-packaged cocktails ready to drink non-alcoholic cocktail mixers as an industry do you see scope there for somebody to build in?

[Speaker 2] (2:50:18 - 2:51:07)

I think I have a very contrary opinion on seltzers in general because I think What is a seltzer? So you know the whole idea that US really took off with seltzers. Now the last 3 years it's seltzers.

And seltzers were basically brewers who were putting simple ENA which is extra neutral alcohol with sparkling water. You know just like low calorie. But if you look at every Indian if you go to any Ahatha, the way every Indian is drinking is drinking a seltzer on his own.

The Americans were mixing their whisky's with coke but we in India are anyway mixing with soda and water. So if you are going to create a seltzer everybody is making their own seltzers here. So how are you even so it's to make something like that from a cultural context might be relevant to US but it will be very different in terms of stickiness to India.

[Speaker 3] (2:51:07 - 2:51:08)

It's still a very herbal seltzer.

[Speaker 2] (2:51:08 - 2:51:12)

Basically seltzer is a vodka soda. Technically it's a vodka soda.

[Speaker 3] (2:51:12 - 2:51:13)

It's anything which is ale.

[Speaker 2] (2:51:13 - 2:51:18)

But in India we drink everything on soda. But Goa started that right? It's like a soda with alcohol.

[Speaker 3] (2:51:19 - 2:51:25)

So anyway it could be it could be what say you whatever. So it could be any flavour.

[Speaker 4] (2:51:25 - 2:51:54)

What about like pre ready cocktail mix? Old fashioned mix? The thing is the distribution is still the same as an alcohol.

You still have to get the same license. You still have to get the same distribution. You have to still have the same retailer.

And at that price point if I'm picking up a pre made at 150 rupees which should not come into my house on a blanket or swiggy I have to go to a theka You're still jumping the same hoops. I'd rather pick up a bottle of alcohol and mix it at home. What's the deal with wine stores?

[Speaker 5] (2:51:54 - 2:51:56)

Across the country do they make 10% margin?

[Speaker 1] (2:51:56 - 2:52:14)

My answer on this would be different. I think it's a slow burner. The old fashioned one.

There's not enough players who have jumped into this field. You think there's potential here? It's only Bacardi who's there Who?

Breezers. That's the only competition there.

[Speaker 3] (2:52:14 - 2:52:16)

Who's the biggest global player right now in Goa?

[Speaker 1] (2:52:16 - 2:52:18)

We are talking about alcoholic or non-alcoholic?

[Speaker 3] (2:52:19 - 2:52:20)

Alcoholic. Schweppes has entered the game.

[Speaker 1] (2:52:20 - 2:52:24)

Schweppes has entered. Coca-Cola has entered. No, not Schweppes.

In India.

[Speaker 3] (2:52:24 - 2:52:25)

Yes, in India.

[Speaker 1] (2:52:25 - 2:53:29)

So I think the minute competition comes in, this category can explode because the main issue here is the refrigeration. What happens? People want it cold.

The liquor shops are very the size is very small. So you give them a fridge basically. Space, like why beer is not growing?

Because people go, they want to drink beer. Let's be clear, beer drinking, the premium spirits drinking happens at home. If we go to a sidecar, if you have an expensive whiskey and cost 4000 rupees for a 60 ml, people think twice.

But the home they'll order, especially COVID has changed that. Beer they want to drink on the spot and that's why refrigeration system in our liquor stores is very less. So I think the minute that increases, I think this is a category which can explode.

But there needs to be competition. You need to bring in flavours, you need to bring in that

newness. The business of wine stores.

[Speaker 5] (2:53:30 - 2:53:33)

Good business. If somebody wants to start off.

[Speaker 4] (2:53:33 - 2:53:34)

I don't have too much information on that though.

[Speaker 5] (2:53:35 - 2:53:42)

Like old school wine store. How does it work? Does it work on 10% margin?

I think Gurgaon has a tender system.

[Speaker 4] (2:53:43 - 2:53:46)

So you know better on the tender system that happens at least.

[Speaker 1] (2:53:46 - 2:54:25)

See what happens, like nowadays, like what you see in Maharashtra with the liquid gold and everything. They have institutionalized the entire living liquid. They have utilized the entire experience.

But I don't know how it operates. It's not that easy. But I think it's profitable.

It's very profitable. And if you get your maths right, you should not get into a place where you go for auctions. But if you have a licensed system, 100% you can do a great job.

[Speaker 4] (2:54:26 - 2:54:42)

Right. But usually in Gurgaon, it works on some bidding system. And then actually the store doesn't pay for construction.

They go to Diageo, they go to Pernod and they say, this is my space. Turn around in 30 days and then it's a full branded store of a certain brand.

[Speaker 2] (2:54:42 - 2:54:55)

But I think the opportunity also is in very niche products now in the wine category because you know you can have just craft and wine bars. Or like outlets which are very specific. The license is different, right?

[Speaker 1] (2:54:55 - 2:54:55)

It's easier.

[Speaker 2] (2:54:55 - 2:54:57)

It could be the same license also.

[Speaker 1] (2:54:57 - 2:55:09)

Like say for Radico, if we get an opportunity where we can enter into a liquor store business where it is corporatized. Like you know, corporates can get into it.

[Speaker 4] (2:55:09 - 2:55:15)

Licensing is not an issue. Also every state is different. So you cannot generalize the entire country.

[Speaker 5] (2:55:15 - 2:55:29)

How much is duty free cheaper than I know every state is different but let's say Maharashtra for example or Karnataka or Delhi. What is the price of duty free alcohol versus price on ground?

[Speaker 4] (2:55:29 - 2:55:51)

So it depends like in Delhi, especially in a place like Gurgaon, alcohol is not very expensive because your taxes are lower. Duty free also takes a percentage of your sales which actually now from Gurgaon to duty free there is not too much difference. At least from Gurgaon to Delhi duty free.

You are talking about a duty free say Mumbai and a Mumbai duty free airport or what are you...

[Speaker 1] (2:55:51 - 2:56:05)

No, I am talking about Mumbai airport duty free versus Mumbai retail shop. Yeah, so let's give an example say Rampur. In the Mumbai duty free would be 8,500 and in the retail 12,500.

[Speaker 4] (2:56:07 - 2:56:11)

But Delhi duty free to Gurgaon would not be that different.

[Speaker 1] (2:56:11 - 2:56:15)

He is talking about the state versus the duty free airport.

[Speaker 4] (2:56:15 - 2:56:21)

Bombay to Bombay airport would be higher difference versus Delhi to Gurgaon.

[Speaker 5] (2:56:22 - 2:56:25)

And online delivery of alcohol.

[Speaker 4] (2:56:25 - 2:56:26)

Make it happen.

[Speaker 5] (2:56:26 - 2:56:28)

E-commerce. What is the issue with it?

[Speaker 3] (2:56:28 - 2:56:32)

Are some people doing it some people not doing it?

[Speaker 4] (2:56:32 - 2:56:34)

So West Bengal got a license.

[Speaker 3] (2:56:34 - 2:56:41)

It's a state subject. So say West Bengal has agreed to it and is making money off it which is intelligent of them.

[Speaker 1] (2:56:42 - 2:56:45)

Online would be what? Only 5% or hardly?

[Speaker 3] (2:56:45 - 2:56:49)

But the fact that they have made it easy for all of us.

[Speaker 4] (2:56:49 - 2:56:55)

Even Bombay also does something with online delivery.

[Speaker 5] (2:56:55 - 2:57:06)

Won't it move power away from you guys to the large e-commerce aggregators? Like it does for other products like fashion, garments.

[Speaker 1] (2:57:06 - 2:57:23)

I'll change that. What happens, like say the women, they can't go to a store. So the consumers it will expand.

What margins we are giving to the retail or for anything is the same thing. But the distribution

becomes very easy.

[Speaker 5] (2:57:23 - 2:57:32)

But what is to be said that Amazon tomorrow will not start a Kanpur instead of Rampur and push that higher up in their algorithm?

[Speaker 1] (2:57:33 - 2:58:10)

If you see globally, online retail when it was COVID, London everywhere it was on. Except India, 45 days we were dry. That's why the media if you see they made a huckus about it.

But anything which is stopped, say food there would be so much of queue. So online delivery was there is prevalent in US everywhere. But has a Kanpur or a Nagpur or a Rampur.

Amazon has not been able to deliver that because alcohol production is very different from a commodity. A brand is different. It's a luxury, it's experience.

[Speaker 5] (2:58:10 - 2:58:15)

You're saying if it goes online, will you go to an aggregator or will you want to do the delivery yourself?

[Speaker 1] (2:58:16 - 2:58:23)

If I become a delivery guy like Amazon, then it's a different kettle of fish.

[Speaker 4] (2:58:24 - 2:58:28)

Logistic can happen through an e-commerce player but brand building will still happen offline.

[Speaker 3] (2:58:29 - 2:58:52)

Of course you'll go to an aggregator. Why won't you? You would want to open up your brand to everybody else.

As long as the aggregator is making a, let's say agreeable sum. Which is always a point of contention with aggregators. If they take a decent sum out of your business and increase your width of distribution, why won't you?

[Speaker 4] (2:58:52 - 2:58:54)

And recovery happens faster.

[Speaker 3] (2:58:54 - 2:59:00)

And easier. This is cash, right? This is retail.

So this is a cash and carry situation. I mean, why would you not?

[Speaker 4] (2:59:00 - 2:59:05)

We need that. Finance your inventory. It's a great model.

[Speaker 3] (2:59:05 - 2:59:27)

See, the biggest problem here is legalese. It's like saying that anybody above legal drinking age, below legal drinking age cannot be. And then you'll have these kids who are ordering alcohol.

All of that. There will be a way out. So the regulatory versus the logistics.

Like a kid can today order a burger but a kid cannot order a gin. There is a whole lot of, you know.

[Speaker 2] (2:59:27 - 3:00:47)

There will be a margin problem in my opinion. Because if you give too much power to the aggregator, let's say the blended margin for a successful brand in the retail is somewhere around 12-15% including your trade scheme. Nobody goes beyond that.

Unless you are a very early brand and it's a push sale. That's a completely different equation. So any aggregate and the cost of selling liquor at a thekha or a liquor outlet is very frugal.

The employment structure, the salaries, everything. The cost of volume versus the money invested to do that transaction is less. And it's also, so when you do the delivery model and you start adding that extra cost, I think somewhere around you're already having your back towards the wall when it comes to margins for liquor companies.

If it stretches towards Zomato or Swiggy or 25%, then it becomes very, very unviable. And that's almost like how US large big, you know, box retailers operate where they have far more leverage. They make distribution easy for you.

But then it's also kind of like pre-gamed. Here you still have a great opportunity if you understand the nuance of the market. You go granular.

You play 1-1-1 market where it's easy. There's still so many low-lying fruits, I think. What happens if import duty on foreign liquor, I read somewhere that the percentage is going down, 150 to 30.

[Speaker 5] (3:00:48 - 3:00:55)

Can Indian alcohol compete with international alcohol, Sands, any kind of duty?

[Speaker 4] (3:00:56 - 3:00:58)

If it comes down to 30, it'll be tough competition.

[Speaker 5] (3:00:59 - 3:01:02)

They've said, no, it'll be phased to 30% over 3 years?

[Speaker 1] (3:01:03 - 3:01:43)

No, no. Right now it is 150. 50%.

It'll come down to 100. In one year? One year.

That's what, I don't know, they're planning or whatever it is. And then in 5-7 years, it'll come down to 50%. So today also if you see Indian products are priced higher.

Like say our malt is priced higher than any of the well-known malts also. So price perception has become different. Also what happens, like lot of Indian companies are importing lot of scotch from outside.

So that value comes down. Straight away the profit goes up. So I think it is like, it's good for the economy.

It has to be balanced and it'll be healthy.

[Speaker 3] (3:01:44 - 3:01:50)

For example, for bars, it's worse for me to buy Indian brands versus buying international brands.

[Speaker 2] (3:01:50 - 3:01:51)

Can you imagine?

[Speaker 3] (3:01:51 - 3:02:15)

This is so funny. So I have to buy a case minimum. Case could be 6 or 12, whatever that, you know, your packaging is.

And you have to pay more taxes to buy Indian brands which are made in India versus if I buy a scotch and a gin somewhere else, I actually Why is that? Because I'm actually buying far more quantity. Like my quantity is much higher.

[Speaker 1] (3:02:15 - 3:02:19)

In UP we are done, so you can buy a bottle. In Delhi, you have to buy 12 bottles.

[Speaker 3] (3:02:20 - 3:02:35)

I can't buy a single bottle. I can't buy a single bottle of Rampur. If I buy, I have to buy 12.

Which basically means, look at my inventory. So I'm sitting on 12 bottles and I have to sell it for whenever time, whichever time it takes me to sell. For a brand, especially for super premium and premium brands, it's very tough.

[Speaker 4] (3:02:35 - 3:02:38)

They come and say, okay, buy 2 and the rest are free.

[Speaker 3] (3:02:38 - 3:02:52)

Which is terrible for them. As makers of the brand, right? I mean, they don't want to give it for free.

And I don't want to buy it for free if I can't sell it, right? So it's terrible. It's terrible overall for the Indian brands, I feel, to sell in on trade.

[Speaker 5] (3:02:54 - 3:03:03)

Interesting. I think we've covered everything. Can you guys think of something a young person starting off will need that we haven't spoken about yet?

[Speaker 4] (3:03:05 - 3:03:31)

I think if you can just touch upon how does one go and get registered to sell in a state? I would want to know that myself. I've got the product.

It's made. I've got my co-packer. Now it's done.

My product is ready in Goa. Now next, how do I go to Delhi and who do I go to? Which department?

How do I go about the process to get my brand registered? And who do I go and pay?

[Speaker 1] (3:03:32 - 3:03:36)

No, you don't have to pay anyone. It's all official. But what happens No, official only.

[Speaker 4] (3:03:37 - 3:03:39)

Which department? Excise department.

[Speaker 1] (3:03:40 - 3:04:33)

You have to get your label registered. Every state has it different. Like Karnataka.

Karnataka when you go Like every state is, as I said, 28 states are like 28 different countries. Karnataka, you go, when you register, excise will put your label for 40 days. Someone, if someone objects, they will say no.

There is a criteria. Once you get, then you get registered, then you supply your material. Goa, it is easier.

Goa, it is the easiest. UP, then in certain states, you have to, once a year, the label you can apply. If you take the pricing, you cannot increase the pricing if the government does not allow you to.

So every state has a different system. So label has to be different for every state? No, label has to be same.

But suppose if you have a different pricing, then the descriptor etc.

[Speaker 4] (3:04:33 - 3:04:34)

Every state has different pricing.

[Speaker 1] (3:04:35 - 3:04:45)

The EDP. The EDP means x distillery price. Okay.

So that has to be like, certain states have that, you have to have the lowest price.

[Speaker 2] (3:04:45 - 3:04:47)

Lowest EDP. It is another math.

[Speaker 3] (3:04:47 - 3:04:49)

Delhi wants the lowest price.

[Speaker 2] (3:04:49 - 3:04:52)

Delhi has always wanted the lowest. CSD wants the lowest EDP.

[Speaker 3] (3:04:52 - 3:05:10)

So they ask for it. They say, are we the cheapest in India? Then you can register.

So you have to claim it and you have to actually say, no, I am the cheapest with you. So it's like, you go into 10 markets and then say, I am the cheapest with you. Then you have to follow through, right?

You can't also cheat. How can you be the cheapest with 10?

[Speaker 2] (3:05:10 - 3:05:55)

So your x distillery price, let's say is 1100 for Goa. But you only have 250 rupees in taxation, which is the lowest. Then your price becomes 1450, 1350.

But let's say you are in Delhi and you have to pay another 1000 rupees. Then you go 2100. So your MRP on the consumer end will be different.

But you could be cheapest in both the states at the same time. Because of the taxation. Because of the, also the excise policies in certain states determine that you cannot have differential pricing in different states.

They want to regulate it. So like for example, do you have a person in your company who does this for you? No, I think eventually everybody learns.

Policy comes every year.

[Speaker 4] (3:05:56 - 3:06:08)

You have all the state head. I am talking about people from 0 to 1. Like if I want to start something, I would not know where to go to and understand this taxation.

[Speaker 2] (3:06:09 - 3:06:14)

I think my personal experience has been Is it easier in beer?

[Speaker 3] (3:06:14 - 3:06:18)

Just to ask a question. Is it easier than beer to spirits?

[Speaker 2] (3:06:18 - 3:06:20)

You have to be initially Beer is easier.

[Speaker 3] (3:06:21 - 3:06:24)

Is it easier in Louis VV to spirits?

[Speaker 2] (3:06:25 - 3:07:18)

No, no. It's the same for everyone. But I think it's a government department.

So I will tell you one experience of mine. So when I was just starting out and we didn't have a policy or a license to allow you to bottle. So literally go and work with every little desk in the

exercise department from one step to the other.

So I spent literally 6 months in the Goa exercise department. I would go every morning after quitting my job. 9 o'clock to 6 o'clock.

And one day, there was a fire that broke out in that exercise office. So the commissioner came out and he did a roll call because of the employees and he said Is that Goa Brewing guy still there? I have gone through all this.

I have gone through all this. So it is that level of... So you understand.

Once you know then you got a favorable policy which allowed you to do it. But you had to literally go and convince people that you know you want to do this. And that's how government departments work.

[Speaker 4] (3:07:18 - 3:08:12)

So the same thing like what they face in building products, I face that in doing events. Absolutely, yeah. So in a place like Delhi, Delhi is great to do events.

Gurgaon, for example if I do a sale of 2 crores of alcohol from an event, right? I have to pay 18% VAT upfront of total saleable amount beforehand to the government even though I am giving free stock. Secondly, in a place like Bangalore they cannot give me free stock.

I have to physically go as an event owner go and buy stock which will be a block of 50-60 lakh rupees of mine before the event. So, and they look at you like you are doing something wrong. Why are you picking up 600 cases of alcohol for an event?

What type of event are you doing? Not for him. No, not for him.

They look at you very differently.

[Speaker 1] (3:08:13 - 3:08:50)

So when I go to these offices, because by the end of the license I have to get taken on my name. You know when you come on manufacturing, you have hologram, you have track and trace, you have so many things and it keeps changing. It's like a...

Is duplication a big problem for you? See, duplication now, what has happened is each state as you rightly said the figure 22% of UP's revenue, everyone is so dependent on the excise revenue and if any state has to succeed, they don't allow duplication. So this was a problem 15-20 years back when I started work.

Now it's gone minimal.

[Speaker 3] (3:08:51 - 3:08:52)

But you can see some progressive changes.

[Speaker 1] (3:08:53 - 3:08:53)

Absolutely.

[Speaker 3] (3:08:53 - 3:09:10)

We've seen like even in Delhi, everything now that since I mean we've been operating in Delhi and it went online it was great, it was bar-coded. Everything which is, like it was so much easier for us to pick up stuff from retail big size and then deal with the retailers. Like our life became so much simpler when we went online.

[Speaker 4] (3:09:10 - 3:09:12)

And if you go to the Clever's retailer at a point in time.

[Speaker 3] (3:09:12 - 3:09:21)

Yeah, yeah exactly. So what I'm saying is there are really like you know small changes which keep happening and we've seen that over a period of time.

[Speaker 1] (3:09:21 - 3:09:40)

See basically we should be like the software industry like Bangalore, Karnataka, where the government didn't interfere beyond a point and the industry flourished. So the minute if we pay revenue, have the excise check at the point of the factory. Yeah.

And let it live. Open it up.

[Speaker 3] (3:09:40 - 3:09:52)

Yeah. Same thing right? Even to open a bar man, like 30 licenses.

Sorry. 30 licenses. It's a lot of licenses.

So I mean we know how much it takes to, even right now we are renewing.

[Speaker 4] (3:09:52 - 3:09:58)

You're packing yourself good when you're building your own distillery the licenses are like chemical and fire.

[Speaker 1] (3:09:58 - 3:10:00)

But Nikhil I want to understand one thing from you.

[Speaker 4] (3:10:00 - 3:10:02)

Like you're building a bomb. Like on the other side you're investing.

[Speaker 1] (3:10:02 - 3:10:23)

Yeah I was like why do you need fire to serve food? You think liquor can make too much money or is it like a How do I say this? It's like a Like the liquor industry like people have a feeling that you know it makes too much money.

Or it's very easy to make money. Yeah. What do you feel?

I don't think so.

[Speaker 5] (3:10:23 - 3:10:34)

The number of brands that have shut down during COVID is testament to how difficult it is to make money in the liquor industry. Also in the bar industry. I feel very few people make money.

[Speaker 1] (3:10:34 - 3:10:34)

Yeah.

[Speaker 5] (3:10:36 - 3:10:42)

But the ones who make money and succeed for a prolonged period will continue. Will probably make a lot more money which is fair.

[Speaker 1] (3:10:42 - 3:10:42)

Exactly.

[Speaker 5] (3:10:42 - 3:10:43)

It's capitalism.

[Speaker 2] (3:10:44 - 3:10:50)

Right? Gradual distribution. Exactly.

I think survival of the fittest. Eventually.

[Speaker 3] (3:10:50 - 3:10:53)

But isn't that true for every industry?

[Speaker 2] (3:10:53 - 3:10:56)

Yeah I think every industry. You have to be resilient.

[Speaker 5] (3:10:57 - 3:11:32)

Okay last part of today is at the end of every podcast, every show we have something that we do to the young community we've been speaking to throughout. So we all allocate a certain amount of money. It can be anything.

It can be 100 rupees. It can be x amount. And then we will all get together and together decide which young startup in liquor bar events to invest in.

So I'm just gonna go around and ask you guys to commit some amount of money. We can start with Suraj.

[Speaker 1] (3:11:32 - 3:11:34)

I'll commit like 5 lakhs.

[Speaker 4] (3:11:34 - 3:11:36)

You can make it anything.

[Speaker 3] (3:11:36 - 3:11:37)

You can make?

[Speaker 4] (3:11:38 - 3:11:41)

20? Yeah. I'll match 5 lakhs.

[Speaker 3] (3:11:41 - 3:11:44)

Yeah okay 5. What are we doing though? We're making a little fund.

[Speaker 4] (3:11:44 - 3:11:47)

See now we have 40-55 lakhs.

[Speaker 5] (3:11:48 - 3:11:53)

No but it's seed investment for somebody young.

[Speaker 4] (3:11:53 - 3:11:57)

It can get you started off with a co-packing business or setting up a distillery.

[Speaker 5] (3:11:57 - 3:12:11)

Just find a bright kid. Like a really bright kid who has potential to build something. Give him this money and say go explore.

And we'll figure out who the kid is together. Probably come from you guys because you know more people here than I do.

[Speaker 4] (3:12:12 - 3:12:12)

Nice.

[Speaker 5] (3:12:13 - 3:12:17)

Okay thank you everyone for coming. I hope you all had fun. It was a blast.

[Speaker 4] (3:12:18 - 3:12:19)

Thank you for having us.

[Speaker 5] (3:12:19 - 3:12:24)

Thank you so much. We work together. Look forward to working with all of you.

[Speaker 1] (3:12:24 - 3:12:26)

For both of us in one way or the other.

[Speaker 3] (3:12:27 - 3:12:30)

We have to do a Delhi union and then a Goa union.

[Speaker 1] (3:12:31 - 3:12:34)

At least I've made 3 friends. Absolutely. Done.

[Speaker 3] (3:12:34 - 3:12:36)

Thanks guys. Thank you.

[Speaker 1] (3:12:37 - 3:12:38)

Lovely. Super.

[Speaker 2] (3:12:44 - 3:12:47)

Yeah. Does he get paid too? That's cheap.